

# H2 Economics (9570)

## Crafting Evaluation Paragraphs

A Step-by-Step Guide for 8-Mark and 10-Mark CSQ Questions

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### Using the SPECIES Evaluation Framework

**Also covers:**

H1 vs H2 distinctions · SEAB mark-scheme language (L1/L2/L3 + E1/E2/E3)  
Sentence-starter bank · SEAB-format worked examples · SPECIES by topic (all 13 topics)

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## 1. Why Evaluation Matters

In H2 Economics CSQ Paper 1, the 8-mark and 10-mark questions are where you win or lose your grade. These questions test **Assessment Objective 4 (AO4)**: the ability to evaluate economic arguments, weigh evidence, and reach a reasoned judgement. Two students who know the same theory will be separated by who can evaluate and conclude. The most common mistake is writing a **one-sided answer** (all thesis, no antithesis) or presenting both sides **without weighing them** (no evaluation). Both approaches cap your marks.

### H1 vs H2: Key Differences Under AO4

| Feature                                    | H1 (8843)                                              | H2 (9570)                                                                              |
|--------------------------------------------|--------------------------------------------------------|----------------------------------------------------------------------------------------|
| Syllabus paper with evaluation             | Paper 1 only (CSQ, 100% of grade)                      | Paper 1 (CSQ, 40%) + Paper 2 (Essays, 60%)                                             |
| AO4 definition                             | Identical to H2 in SEAB syllabus                       | Identical to H1 in SEAB syllabus                                                       |
| Mark-scheme grid                           | L1/L2/L3 + E1/E2                                       | L1/L2/L3 + E1/E2/E3                                                                    |
| Expected evaluation depth                  | Balanced two-sided argument + substantiated judgement  | <i>Same, plus: challenge model assumptions; advanced synthesis (FILTER-type moves)</i> |
| Content scope for evaluation               | No Market Structure; limited international trade depth | Full scope: Market Structure, Marshall-Lerner, game theory                             |
| Typical HOT mark allocation per case study | ~24 marks of 40 are higher-order questions             | ~18 marks of 30 are higher-order questions                                             |

### Mark Allocation: Where Do Evaluation Marks Come From?

| Component              | 8-mark question | 10-mark question | What the examiner looks for                                                                 |
|------------------------|-----------------|------------------|---------------------------------------------------------------------------------------------|
| Introduction           | 1 mark          | 1 mark           | Define the key term. State the context briefly.                                             |
| Thesis (FOR)           | 2–3 marks       | 3–4 marks        | 2–3 well-developed arguments. Causal chains + extract evidence.                             |
| Antithesis (AGAINST)   | 2–3 marks       | 3–4 marks        | 2–3 counter-arguments directly challenging the thesis. Not unrelated points.                |
| Evaluation + Judgement | 2–3 marks       | 2–3 marks        | <b>SPECIES</b><br>criteria to weigh thesis vs antithesis. A clear, substantiated judgement. |

**Key insight:** Without any evaluation, you lose 2–3 marks entirely and are capped at L2 KAA regardless of how strong the analysis is. The difference between an 8m and a 10m answer is more developed thesis and antithesis — the SPECIES + judgement structure is the same for both.

## 2. SEAB Mark-Scheme Language: L1/L2/L3 + E1/E2/E3

SEAB does not publish mark schemes publicly. However, JC internal prelim mark schemes (RI, VJC, HCI, ACJC, TJC) converge on the level descriptors below. *Understanding these helps you self-diagnose your own scripts.*

### KAA Bands — 8m/10m 'Discuss' Questions

| Band | Label                       | What the examiner sees                                                                                                                                                         |
|------|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| L3   | Well-balanced, two-sided    | A well-balanced answer with good scope and rigour. Two-sided discussion with reference to case evidence and sufficient reasoned judgement. Diagrams accurately drawn and used. |
| L2   | Underdeveloped or one-sided | Underdeveloped two-sided discussion lacking judgement, OR a developed explanation of only one side. Some case evidence used.                                                   |
| L1   | Descriptive / irrelevant    | Descriptive response with some knowledge. Mostly irrelevant, or glaring conceptual errors, or one-sided with no case evidence.                                                 |

### Evaluation Bands

| Band | Available in  | What it means — and how to achieve it                                                                                                                                                                                    |
|------|---------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| E3   | 10-mark only  | Well-developed evaluative judgements across both sides, backed by sound economic analysis. Judgement is synthesised, not merely summarised. Includes explicit SR vs LR considerations and context from the case extract. |
| E2   | 8m and 10m    | Judgement explained AND anchored in economic analysis.<br><i>Goes beyond a summary of earlier points.</i><br>Includes at least one evaluative qualifier: magnitude, elasticity, time period, or stakeholder impact.      |
| E1   | 8m and 10m    | An unexplained evaluative statement. Makes a stand with no or minimal substantiation. Judgement is a restatement or summary of earlier points.                                                                           |
| E0   | All questions | <b>No evaluation.</b><br>Answer capped at L2 KAA regardless of how strong the analysis is.                                                                                                                               |

**The key move — E1 to E2/E3:** 'Summary/stand without reasons' → 'explicit judgement substantiated with economic analysis, anchored in case context, ideally adding SR/LR or magnitude/elasticity nuance.'

### Self-Marking Checklist — Use Before Submitting

- Is my answer **two-sided**? (If no → L2 cap regardless of quality)
- Does my antithesis **directly challenge my thesis**? (If it is a different topic → deduct KAA marks)
- Have I quoted or paraphrased at least one piece of **case evidence** in my thesis AND antithesis?
- Have I written an explicit **evaluation paragraph using SPECIES**? (If no → E0, losing 2–3 marks)
- Does my judgement **go beyond a summary**? Does it state which side is stronger AND explain why?
- Have I named at least one **condition that would change my conclusion** (e.g. 'this holds more strongly when...')?

### 3. Overall Answer Structure

#### 8-Mark Answer: Recommended Structure (12 minutes total)

| Step   | Think — your planning                                         | Write — on your answer script                                                                                           |
|--------|---------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|
| Step 1 | What is the question asking?<br>What key term needs defining? | Introduction (1–2 sentences): Define the key term. State the context from the extract.                                  |
| Step 2 | What are 2 arguments FOR?                                     | Thesis: Present 2 well-developed points. Each = concept + causal chain + extract evidence.                              |
| Step 3 | What are 2 arguments AGAINST?                                 | Antithesis: Present 2 counter-arguments. Each must directly challenge a thesis point — not be an unrelated observation. |
| Step 4 | Which side is stronger?<br>What conditions matter?            | Evaluation paragraph: Apply 2–3 SPECIES criteria. State which side is stronger and why.                                 |
| Step 5 | What is my overall position?                                  | Judgement (1–2 sentences): A clear, substantiated conclusion. Not a restatement of the question.                        |

#### 10-Mark Answer: Recommended Structure (15 minutes total)

| Step   | Think — your planning                       | Write — on your answer script                                                                       |
|--------|---------------------------------------------|-----------------------------------------------------------------------------------------------------|
| Step 1 | Same as 8-mark.                             | Introduction: Define + context.                                                                     |
| Step 2 | What are 2–3 arguments FOR?                 | Thesis: Present 2–3 well-developed points. More depth per point than 8m. Use more extract evidence. |
| Step 3 | What are 2–3 arguments AGAINST?             | Antithesis: Present 2–3 counter-arguments. More depth per point than 8m.                            |
| Step 4 | Same as 8-mark but with fuller application. | Evaluation paragraph: Apply 3–4 SPECIES criteria. Weigh with explicit reference to context.         |
| Step 5 | Same as 8-mark.                             | Judgement: Clear, substantiated conclusion with conditions stated.                                  |

**Time budget:** 8-mark = 12 minutes (2 min plan, 10 min write). 10-mark = 15 minutes (3 min plan, 12 min write). **Spend at least 3–4 minutes on Steps 4–5.** A common exam failure is running out of time on the final 10-mark question — you lose all 3 evaluation marks at once.

## 4. Step 1 — Read the Stem: What Type of Evaluation?

Before planning your answer, identify what the question stem is asking you to evaluate. **Misreading the stem is the single most costly mistake.** Different stems require different evaluation focuses and different judgement endings.

### Core Stems

| Stem                                       | The question is asking...                                            | Your evaluation must...                                                | Your judgement must end with...                                  |
|--------------------------------------------|----------------------------------------------------------------------|------------------------------------------------------------------------|------------------------------------------------------------------|
| <b>Discuss whether...</b>                  | Is the stated proposition true or false?                             | Weigh evidence for and against the proposition                         | <i>A clear yes/no position with reasoning</i>                    |
| <b>Assess the effectiveness...</b>         | Does the stated policy achieve its objective?                        | <b>Evaluate using:</b><br>constraints → effectiveness → feasibility    | <i>Whether the policy is effective and under what conditions</i> |
| <b>To what extent...</b>                   | How much is the stated claim true?                                   | Assess the degree to which the claim holds                             | <i>"To a [large/moderate/limited] extent because..."</i>         |
| <b>Evaluate whether [X] is the best...</b> | Is X better than alternatives?                                       | Compare X against at least one alternative on the same criteria        | <i>Which approach is better and why</i>                          |
| <b>Discuss the consequences/impact ...</b> | What happens as a result?<br>Is the net effect positive or negative? | Weigh positive consequences against negative, considering stakeholders | <i>Whether the net effect is positive or negative overall</i>    |

### Additional Stems for Firms and International Economics

| Stem                                                                                 | Your evaluation must...                                                                                                                                                  | Your judgement must end with...                                                                                       |
|--------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| <b>Discuss whether consumers benefit from [firm strategy/market structure] ...</b>   | <b>Weigh impact on:</b><br>price (CS), quality, variety, and innovation. Use the three-efficiency framework: allocative, productive, and dynamic.                        | <i>Whether consumers benefit on balance, and under what conditions (competition level, time horizon, regulation).</i> |
| <b>Discuss the benefits and costs of [globalisation/FDI/trade] for [economy]...</b>  | <b>Weigh:</b><br>AD/AS benefits, employment, technology transfer vs structural unemployment, inequality, external vulnerability. Assess by stakeholder.                  | <i>Whether benefits outweigh costs overall, and what domestic policies mitigate costs.</i>                            |
| <b>Discuss whether [country] should pursue trade liberalisation/protectionism...</b> | Compare free trade benefits against protectionism arguments. Apply to the specific economy's context.                                                                    | <i>Whether the economy is better served by liberalisation or protection, given its stage of development.</i>          |
| <b>Discuss whether [tariff/quota] is justified...</b>                                | <b>Use:</b><br>tariff diagram welfare analysis (CS loss, PS gain, DWL). Then apply SPECIES: infant industry validity, retaliation risk, less distortionary alternatives. | <i>Whether the measure is justified given welfare costs and availability of alternatives.</i>                         |

## 5. Step 2 — Writing the Thesis and Antithesis

Each thesis and antithesis point must follow a **four-part structure**. Listing points without development earns minimal marks.

### The Four-Part Structure for Each Point

| Part                         | What it does                                          | Example — 'Assess the effectiveness of a carbon tax'                                                                                                                                                                                                                                                            |
|------------------------------|-------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. State the argument        | A clear topic sentence making the claim               | <i>"The tax is effective in reducing carbon emissions."</i>                                                                                                                                                                                                                                                     |
| 2. Explain the mechanism     | <b>The economic causal chain:</b><br>concept → effect | <i>"The tax, set equal to MEC at socially optimal output <math>Q_s</math>, raises MPC, shifting the supply curve leftward from <math>S</math> to <math>S+tax</math>. Market price rises, quantity demanded falls. Output moves from <math>Q_e</math> toward <math>Q_s</math> where <math>MSB = MSC</math>."</i> |
| 3. Apply to context          | Reference extract data or Singapore-specific detail   | <i>"Extract 2 states that carbon emissions from the manufacturing sector fell 8% in the year following the tax increase, consistent with this analysis."</i>                                                                                                                                                    |
| 4. Link back to the question | Explicitly state what this means for the proposition  | <i>"This demonstrates that the carbon tax is effective in moving output toward the socially optimal level and reducing the negative externality in production."</i>                                                                                                                                             |

**Common mistake:** Writing the antithesis as an unrelated second topic rather than a direct challenge to the thesis. If your thesis says 'the tax is effective', your antithesis must explain **why the tax may NOT be effective** — *not switch to discussing a different policy entirely*. The examiner cannot award L3 KAA if your two sides do not engage with the same proposition.

### Using Case Extract Evidence (SEAB Requirement)

CSQ questions require extract reference. Pure theory without application loses KAA marks. Use these citation patterns:

- **Paraphrase:** "Extract 2 (paragraph 3) indicates that..."
- **Direct quote (keep short):** "According to Extract 1, '[short phrase]'..."
- **Data reference:** "The data in Figure 1 shows that [variable] rose by [x]%..."
- **Always:** explain what the evidence means for your argument — do not leave the citation unlinked.

## 6. Step 3 — The Evaluation Paragraph: SPECIES

This is the step that separates L3 answers from L2. After presenting thesis and antithesis, you must **weigh them using specific evaluation criteria**. SPECIES gives you seven criteria. **Pick 2–3 most relevant to the question — do not try to use all seven.**

### SPECIES — The Seven Criteria

| Letter | Criterion                                   | The question it answers                                               | How to write the evaluation sentence                                                                                                                       | When to prioritise                                                         |
|--------|---------------------------------------------|-----------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| S      | <b>Short-run vs Long-run</b>                | Does the conclusion change depending on the time horizon?             | <i>"In the short run, [thesis holds] because [reason]. However, in the long run, [antithesis becomes stronger] because [reason]."</i>                      | Almost always relevant for policy questions.                               |
| P      | <b>Priorities of government</b>             | Which objective is the government prioritising?                       | <i>"The effectiveness depends on the government's priorities. If the priority is [X], then [thesis]. But if [Y], then [antithesis]."</i>                   | When the question involves policy trade-offs or multiple objectives.       |
| E      | <b>Extent of the problem</b>                | How severe is the issue? Does severity affect which side is stronger? | <i>"If [the issue is severe], [thesis holds] because [reason]. If [the issue is mild], [antithesis holds]."</i>                                            | When the question asks whether a response is appropriate or proportionate. |
| C      | <b>Cost (fiscal/opportunity)</b>            | What is the fiscal cost? What is forgone?                             | <i>"The S\$[X] spent on [policy] could have been used for [alternative], which may yield greater societal welfare."</i>                                    | When evaluating government spending, subsidies, or direct provision.       |
| I      | <b>Impact on stakeholders</b>               | Who benefits and who is harmed?                                       | <i>"While [stakeholder A] benefits, [stakeholder B] is adversely affected because [reason]. The net welfare effect depends on the relative magnitude."</i> | When the question involves consequences for different groups.              |
| E      | <b>Efficacy of alternatives</b>             | Would a different policy work better?                                 | <i>"An alternative — [alternative policy] — may be more effective because [reason]. However, it also has limitations: [limitation]."</i>                   | When the stem says 'best' or 'most effective'.                             |
| S      | <b>Side-effects/unintended consequences</b> | Does the policy cause unintended harm?                                | <i>"However, the policy may have unintended consequences. [Side-effect] may undermine the intended outcome, reducing its overall effectiveness."</i>       | Almost always relevant.                                                    |

### The Three-Layer Evaluation Sequence (Policy Questions)

For policy evaluation questions specifically, use this three-layer sequence within SPECIES:

| Layer                                           | Question to ask                                                | What to write                                                                                                                                                                                                                          | SPECIES                    |
|-------------------------------------------------|----------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| <b>1. Constraints</b>                           | <i>Can the policy even be used?</i>                            | <i>"First, the policy may face constraints in implementation. [E.g. the government lacks accurate information to set the tax at the correct MEC level / the country lacks fiscal space / political constraints prevent adoption]."</i> | <b>C, P</b>                |
| <b>2. Effectiveness</b>                         | <i>If implemented, does it achieve the intended objective?</i> | <i>"Even if implemented, the policy may not be fully effective because [e.g. demand is price-inelastic, so the tax reduces quantity by only a small amount / the multiplier is small in an open economy]."</i>                         | <b>S, E</b>                |
| <b>3. Feasibility (unintended consequences)</b> | <i>Does it cause side-effects that outweigh the benefits?</i>  | <i>"Furthermore, the policy may cause unintended consequences. [E.g. a tax on cigarettes is regressive — it disproportionately burdens low-income households / exchange rate appreciation hurts export-oriented firms]."</i>           | <b>S (side-effects), I</b> |

**After the three layers, conclude:** *"On balance, the policy is [effective/partially effective/ineffective] because [the dominant layer]. A combination of [policies] is likely most appropriate."*



**SPECIES Applied Across Domains — Quick Reference**

The same criterion means different things in different topic areas. Use this table to select the most relevant application:

| Criterion               | Micro Policy                                                          | Macro Policy                                                                                  | Firms                                                                           | International Econ                                                                               |
|-------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| <b>S — SR vs LR</b>     | PED becomes more elastic over time; tax more effective in LR.         | Fiscal has implementation lags. Multiplier operates over successive rounds.                   | Market power harms consumers in SR but may fund R&D in LR (dynamic efficiency). | J-curve: depreciation worsens trade balance in SR before improving it in LR.                     |
| <b>P — Priorities</b>   | Efficiency vs equity? Tax is efficient but may be regressive.         | Growth, inflation, employment, or trade balance?                                              | Consumer welfare or industrial competitiveness?                                 | Domestic employment (protectionism) or consumer welfare (free trade)?                            |
| <b>E — Extent</b>       | How large is the externality? Small MEC may not justify intervention. | How deep is the recession? Mild vs severe.                                                    | How much market power? Near-monopoly vs loose oligopoly.                        | How dependent is the economy on trade? Singapore (trade-to-GDP 300%+) vs large domestic economy. |
| <b>C — Cost</b>         | Opportunity cost of subsidy. Fiscal burden of direct provision.       | Fiscal sustainability. Budget deficit. Crowding out.                                          | Cost of regulation and enforcement vs welfare gain.                             | Cost of protectionism: higher consumer prices, DWL, potential retaliation.                       |
| <b>I — Impact</b>       | Consumers vs producers vs third parties.                              | Exporters vs domestic consumers. Appreciation helps consumers, hurts exporters.               | Consumers (price, choice) vs the firm (profits) vs rival firms.                 | Domestic workers in protected industries vs consumers vs foreign trade partners.                 |
| <b>E — Alternatives</b> | Tax vs subsidy vs regulation vs education.                            | Fiscal vs monetary vs supply-side vs exchange rate.                                           | Competition policy vs trade liberalisation vs price regulation.                 | Tariff vs quota vs subsidy to domestic industry vs retraining.                                   |
| <b>S — Side-effects</b> | Black markets from bans. Moral hazard from subsidies.                 | Fiscal expansion may cause inflation. Appreciation may cause structural UE in export sectors. | Regulation may stifle innovation. Breaking up monopolies may lose EOS.          | Free trade may cause structural unemployment. FDI may lead to profit repatriation.               |

**Evaluating Policy Conflicts (H2 Required)**

Many 8m/10m questions involve a policy that creates a conflict between macroeconomic objectives. Ignoring the conflict loses marks.

| Conflict                             | Why they conflict                                                                                                             | How to write the evaluation                                                                                                                                                                                                  |
|--------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Growth vs Inflation</b>           | Expansionary policy to boost growth ( $AD \uparrow$ ) may cause demand-pull inflation if the economy is near full employment. | <i>"However, the fiscal expansion may conflict with price stability. If the economy is already near full employment, the rise in AD will be largely inflationary rather than output-expanding."</i>                          |
| <b>Growth vs Trade Balance</b>       | Higher growth raises income, increasing import demand ( $M \uparrow$ ), worsening the trade balance.                          | <i>"The growth may come at the cost of a worsening trade balance, as higher income increases demand for imports. This is particularly significant for Singapore, where imports constitute a large share of consumption."</i> |
| <b>Low Unemployment vs Inflation</b> | Reducing unemployment through AD expansion may cause demand-pull inflation as the economy nears capacity.                     | <i>"While the policy reduces cyclical unemployment, the tight labour market may push up wages, contributing to cost-push inflation. The government faces a trade-off between employment and price stability."</i>            |
| <b>Growth vs Equity</b>              | Growth may disproportionately benefit high-income earners, worsening inequality.                                              | <i>"The growth strategy may worsen income inequality if the benefits accrue primarily to high-skilled, high-income workers. Without complementary redistributive policies, growth may not be inclusive."</i>                 |
| <b>Price Stability vs</b>            | Exchange rate appreciation to                                                                                                 | <i>"MAS's SGD appreciation reduces imported inflation but reduces</i>                                                                                                                                                        |

| Conflict               | Why they conflict                                                              | How to write the evaluation                                                                                                                                                                    |
|------------------------|--------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Competitiveness</b> | control inflation makes exports more expensive, hurting export-oriented firms. | <i>export competitiveness. Export-oriented firms face lower revenue and may reduce output and employment. This trade-off is inherent in Singapore's exchange-rate-centred monetary policy.</i> |

### Three-Efficiency Framework for Firms Questions

When the question asks 'Discuss whether consumers benefit' or 'Assess the impact on efficiency' in the context of firms, use this structure instead of the three-layer sequence above.

| Efficiency type                       | Thesis — market power HARMS                                                                                   | Antithesis — market power BENEFITS                                                                                          | How to evaluate                                                                                                                                                                                            |
|---------------------------------------|---------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Allocative efficiency (P = MC)</b> | Firm with market power sets $P > MC$ . Under-production. DWL. Consumers pay higher prices.                    | If the firm achieves significant EOS, prices may still be lower than under perfect competition (natural monopoly argument). | <i>"Whether allocative inefficiency results depends on the extent of market power and whether EOS offset the price mark-up."</i>                                                                           |
| <b>Productive efficiency (min AC)</b> | Without competitive pressure, the firm may become complacent (X-inefficiency). Costs remain above minimum AC. | Potential competition (contestable markets) may discipline the firm. Large firms can achieve lower LRAC through EOS.        | <i>"Whether productive inefficiency occurs depends on barriers to entry and the threat of potential competition."</i>                                                                                      |
| <b>Dynamic efficiency (R&amp;D)</b>   | If the firm faces no competitive threat, it has little incentive to innovate.                                 | Supernormal profits fund R&D and innovation, improving products and lowering costs over time.                               | <i>"There is a trade-off between allocative efficiency (SR consumer harm) and dynamic efficiency (LR consumer benefit). The net effect depends on whether the firm reinvests its supernormal profits."</i> |

**After assessing all three efficiency types, conclude:** *"On balance, consumers [benefit/are harmed] because [the dominant efficiency effect]. Effective government regulation (e.g. CCCS in Singapore) can preserve the benefits of dynamic efficiency while limiting allocative harm."*

## 7. Step 4 — The Judgement: How to Conclude

The judgement is the final 1–3 sentences of your answer. It must be **substantiated** — meaning it states a clear position and explains why that position is more convincing than the alternative. **A vague conclusion ('it depends') without reasoning earns zero evaluation marks.**

### Judgement Templates by Stem Type

| Stem                                | Template                                                                                                                                                                                                                                                                  | Example                                                                                                                                                                                                                                                                                                                                                |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Discuss whether...                  | "On balance, [the proposition is true/false] because [dominant reason from evaluation]. This conclusion holds more strongly when [condition], but less strongly when [opposite condition]."                                                                               | "On balance, the carbon tax is partially effective in reducing emissions because the 8% fall in manufacturing emissions demonstrates responsiveness to price. This holds more strongly in the long run as firms invest in cleaner technology, but less strongly for industries with few low-carbon substitutes where demand is price-inelastic."       |
| To what extent...                   | "To a [large/moderate/limited] extent, [conclusion] because [dominant reason]. However, [qualifying factor] limits the extent to which this conclusion holds."                                                                                                            | "To a moderate extent, the subsidy has corrected the under-consumption of education because enrolment rose by 15%. However, information failure persists — many households remain unaware of the full private benefits, limiting the subsidy's reach."                                                                                                 |
| Assess effectiveness...             | "The policy is [effective/partially effective/ineffective] in achieving [stated objective] because [dominant reason]. Its effectiveness is [enhanced/limited] by [condition]. A more comprehensive approach combining [policy A] and [policy B] would be more effective." | "MAS's SGD appreciation is effective in reducing imported inflation because cheaper imports lower both consumer prices and production costs. Its effectiveness is limited during global supply shocks where all currencies weaken simultaneously. Combining exchange rate policy with targeted fiscal support (GST vouchers) would be more effective." |
| Evaluate whether [X] is the best... | "[X] is [the best/not the best] approach because [reason]. While [alternative Y] has the advantage of [strength], it is limited by [weakness]. [X] is more suitable when [condition], while [Y] is more suitable when [other condition]."                                 | "Direct provision is not necessarily the best approach because it imposes a large fiscal burden and may stifle innovation. Subsidies preserve consumer choice and are more cost-effective. However, direct provision is more suitable for essential services where universal access is the priority, such as primary education."                       |
| Discuss consequences...             | "The net consequence is [positive/negative/ambiguous] because [the dominant effect]. While [positive consequence] benefits [stakeholder], [negative consequence] harms [other stakeholder]. The overall impact depends on [stated condition]."                            | "The net consequence of globalisation for Singapore is positive because access to larger export markets and cheaper inputs raises both AD and AS. While structural unemployment harms low-skilled workers, this is mitigated by SkillsFuture retraining. The overall impact depends on the government's ability to manage distributional costs."       |

## 8. Sentence-Starter Bank

Memorise 3–4 sentence starters per topic. These give your evaluation a clear signal to the examiner that you are making an **evaluative move**, not merely continuing your analysis. The starters below are grouped by evaluation type.

### Magnitude

- "The magnitude of [variable] depends on..."
- "The shift in AD/AS is unlikely to be significant given that..."
- "Even if [policy] is implemented, the effect is small because [PED/MPC/multiplier value]..."

### Elasticity

- "Given that the demand is **price-inelastic** ( $PED \approx \dots$  from Extract X), the tax will raise revenue but have limited effect on quantity demanded..."
- "The effectiveness of the tax depends on whether  $PED > 1$  or  $< 1$ . Extract X suggests PED is [value], implying..."

### Time Period

- "In the **short run**, [thesis holds] because firms/consumers lack time to adjust. However, in the **long run**, [antithesis], as [adjustment mechanism]."
- "Fiscal policy has an **implementation lag** of [X months], meaning the stimulus may only reach the economy when [condition has changed]."

### Challenging Assumptions (H2 — Higher Difficulty)

- "This argument assumes **rational consumers / ceteris paribus / perfect information**. In reality, [deviation from assumption], which means [effect on conclusion]."
- "The Keynesian multiplier analysis assumes no **crowding out**. However, in Singapore's open economy with high capital mobility, government borrowing may raise interest rates and crowd out private investment."
- "The **Marshall-Lerner condition** assumes that the sum of PED for exports and imports exceeds 1. Whether this holds for Singapore depends on [factor]."

### Stakeholder Impact

- "Consumers will benefit from [policy] because [reason], but **producers will be worse off** because [reason]. On balance, [dominant group] is more significantly affected because [reason]."
- "The **distributional impact is uneven**: [stakeholder A] gains [type of gain], while [stakeholder B] loses [type of loss]. Whether this is acceptable depends on the government's equity objectives."

### Constraints and Root Cause

- "Since the underlying cause of [unemployment/inflation] is **structural / cost-push**, demand-side policies will be of limited effectiveness in addressing the root cause."
- "Singapore's **small and open economy** means that fiscal multipliers are reduced by high import leakages and CPF savings, limiting the impact of expansionary fiscal policy on national income."
- "The government may lack the accurate information needed to set the corrective tax/subsidy at the precise **MEC/MEB level**."

### Singapore-Specific Context Hooks

- "MAS uses a **managed exchange rate (not interest rates)** as the primary monetary policy tool. This means [implication for the policy being evaluated]."
- "Singapore's **trade-to-GDP ratio exceeds 300%**, meaning [implication for multiplier / import leakages / external vulnerability]."
- "**SkillsFuture and Workfare** represent Singapore's supply-side and redistributive responses to [structural unemployment / inequality from globalisation]."
- "**COE and ERP** demonstrate Singapore's use of price-based instruments to address negative externalities from congestion."

### Synthesis / Stand-Substantiation

- "On balance, given the data in Extract X showing [evidence], **[stand]**. This is because **[substantiation]**."
- "On balance, [policy] is **[effective/partially effective/ineffective]** because [dominant reason]. The conclusion holds more strongly when [condition], but less strongly when [opposite condition]."
- "The weight of evidence suggests that [thesis/antithesis] is stronger, primarily because [dominant **SPECIES criterion**]. However, a combination of [policy A] and [policy B] is likely to be more effective than either alone."

## 9. Common Mistakes That Lose Evaluation Marks

| Mistake                                                             | Why it loses marks                                                                                                                                                                                   | How to fix it                                                                                                                                                           |
|---------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>One-sided answer (all thesis, no antithesis)</b>                 | <b>Caps at L2.</b><br>The examiner cannot award AO4 marks without both sides.                                                                                                                        | Always present at least 2 counter-arguments that directly challenge your thesis.                                                                                        |
| <b>Both sides presented but no weighing</b>                         | <b>This is description, not evaluation.</b><br>The examiner sees two lists but no judgement.                                                                                                         | After both sides, write an explicit evaluation paragraph using SPECIES. State which side is stronger and why.                                                           |
| <b>"It depends on many factors" — vague conclusion</b>              | <b>E1 at best.</b><br>This says nothing. No substantiation.                                                                                                                                          | <i>"On balance, X because Y. This holds when Z but not when W."</i>                                                                                                     |
| <b>Evaluation left until the end, then running out of time</b>      | <b>You lose all evaluation marks at once.</b><br>The final 10-mark question is where this most often happens.                                                                                        | Embed mini-evaluations within each thesis/antithesis point (e.g. 'However, this effect is limited in the short run because...'). Then add a final evaluation paragraph. |
| <b>Antithesis is a different topic, not a counter to the thesis</b> | <b>You are listing, not evaluating.</b><br>If your thesis discusses demand factors and your antithesis discusses supply factors as separate explanations, you have not engaged with the proposition. | Your antithesis must explain why the thesis argument is weakened, limited, or wrong. It must engage with the same proposition.                                          |
| <b>No extract evidence in thesis or antithesis</b>                  | <b>Loses KAA marks.</b><br>Pure theory without application is penalised in CSQ questions.                                                                                                            | Quote or paraphrase at least one piece of extract data in your thesis and one in your antithesis.                                                                       |
| <b>Copying the question stem as the conclusion</b>                  | <b>Not a judgement.</b><br>"The tax may or may not be effective" earns E0.                                                                                                                           | Take a position. State which side you find more convincing and explain why based on your evaluation.                                                                    |
| <b>Using all 7 SPECIES criteria (checklist approach)</b>            | <b>Produces shallow, rushed evaluation.</b><br>Quality beats quantity.                                                                                                                               | Pick the 2–3 criteria most relevant to the question. Develop each fully rather than mentioning all superficially.                                                       |
| <b>Treating H1 and H2 evaluation as different skills</b>            | The AO4 definition is identical for both syllabuses. H2 only adds breadth of content and the expectation of assumption-challenging moves at the top band.                                            | Master the same SPECIES + Thesis–Antithesis–Evaluation–Judgement structure for both. Add assumption-challenging (FILTER-type) moves for H2 top-band answers.            |

## 10. Worked Examples

All three examples mirror the **SEAB CSQ format**: each question is preceded by a mock extract, and every thesis, antithesis, and judgement paragraph cites the extract directly, as required by the mark scheme.

### Example 1 — Micro Policy (10 marks): Carbon Tax and Negative Externalities

**Extract A (adapted):** Singapore's carbon tax, introduced at S\$5/tonne in 2019 and raised to S\$25/tonne in 2024, aims to correct the market failure caused by negative externalities in production. The Ministry of Sustainability and the Environment reported an 8% fall in carbon emissions from the manufacturing sector in the year following the 2024 increase. However, energy-intensive industries have raised concerns about competitiveness, and environmental groups argue that the tax remains below the true social cost of carbon.

**Question:** 'Assess the effectiveness of Singapore's carbon tax in correcting the market failure caused by negative externalities in production.' [10]

#### Step 1: Introduction

A negative externality in production occurs when the production process imposes costs on third parties not reflected in the market price, such that MSC exceeds MPC. The carbon tax is a market-based policy that aims to internalise this external cost by raising the private cost of production.

#### Step 2: Thesis — The carbon tax IS effective

First, the tax — set equal to **MEC at the socially optimal output  $Q_s$**  — raises MPC, shifting the supply curve leftward from S to S+tax. The market price rises, quantity demanded falls, and output moves from the market equilibrium  $Q_e$  toward  $Q_s$  where  $MSB = MSC$ . The over-allocation of resources is corrected and deadweight loss is eliminated. This is consistent with **Extract A**, which shows that manufacturing emissions fell 8% following the 2024 tax increase from S\$5 to S\$25 per tonne, suggesting that firms and consumers are responsive to price signals.

Second, unlike command-and-control policies such as bans or quotas, the carbon tax works through the **price mechanism** and preserves producer choice. Firms may choose to pay the tax, invest in cleaner technology, or pass costs on to consumers. This incentivises innovation in low-carbon production, potentially achieving abatement at the lowest social cost.

#### Step 3: Antithesis — The carbon tax may NOT be effective

However, the government may lack accurate information to set the tax at the correct **MEC level**. As Extract A notes, 'environmental groups argue that the tax remains below the true social cost of carbon.' If the tax is set below MEC, it fails to move output fully to  $Q_s$ , leaving a residual deadweight loss.

Furthermore, if demand for the goods produced using carbon-intensive methods is **price-inelastic**, the tax will raise prices but not significantly reduce quantity produced. Energy-intensive industries facing few low-carbon substitutes will simply pass the cost on to consumers. Extract A confirms that 'energy-intensive industries have raised concerns about competitiveness', suggesting limited substitutability in the short run.

The carbon tax may also be **regressive**. Higher energy prices disproportionately burden low-income households, which spend a larger share of income on energy and transport. This worsens income inequality unless the tax revenue is used to fund targeted transfers.

#### Step 4: Evaluation Paragraph (SPECIES)

In the **short run (S)**, the tax may not significantly reduce emissions because firms and consumers are slow to adjust behaviour and find alternatives. However, in the **long run**, the tax incentivises innovation in clean technology, raising its effectiveness over time. The **extent of the problem (E)** also matters: if emissions are causing severe, irreversible environmental damage, even an imperfect tax that partially corrects the market failure yields a net welfare gain.

Regarding the **efficacy of alternatives (E)**, tradeable pollution permits may more precisely target a specific quantity of emissions, but are costlier to administer and subject to price volatility. The **side-effects (S)** of regressive impact can be mitigated through targeted transfers to low-income households funded by carbon tax revenue, but this adds fiscal cost.

#### Step 5: Judgement

On balance, the carbon tax is **partially effective** in correcting the negative externality in production. The **8% fall in manufacturing emissions** following the 2024 tax increase (Extract A) confirms that price signals do influence behaviour. Its effectiveness is greatest in the long run when firms have time to invest in low-carbon technology, and when complemented by targeted transfers to address regressivity and by public information to address information failure. A policy mix of carbon tax, direct regulation, and targeted support is likely more effective than any single instrument alone.

### Example 2 — Macro Policy (8 marks): Fiscal Policy and Unemployment in Singapore

**Extract B (adapted):** Singapore's GDP contracted by 5.4% in 2020 as global demand collapsed during the COVID-19 pandemic. The government deployed S\$100 billion in fiscal support over three budgets, including the Jobs Support Scheme (JSS), which subsidised employer wages in the most severely affected industries. The Ministry of Manpower reported that unemployment rose from 2.3% in 2019 to a peak of 3.5% in Q3 2020, before falling back to 2.1% by end-2021. Economists



have noted that Singapore's fiscal multiplier is estimated at 0.5–0.7, significantly lower than in larger, less open economies.

**Question:** 'Discuss the effectiveness of fiscal policy in reducing demand-deficient unemployment in Singapore.' [8]

### Step 1: Introduction

Demand-deficient unemployment occurs when AD falls during a recession, reducing output below full employment. Fiscal policy involves the use of government spending (G) and taxation (T) to influence AD.

### Step 2: Thesis — Fiscal policy IS effective

Expansionary fiscal policy directly raises AD through increased G. The increase in G has a **multiplied effect on national income**, creating successive rounds of spending that raise output and employment beyond the initial injection. Crucially, fiscal policy can be targeted at the worst-affected sectors. The **JSS in Extract B** directly subsidised wages in the most severely impacted industries, preserving employment that would otherwise have been lost. Extract B shows that despite a **5.4% GDP contraction**, unemployment peaked at only **3.5%** and recovered to 2.1% by end-2021 — significantly better than trajectories observed in comparable recessions without fiscal intervention.

### Step 3: Antithesis — Fiscal policy may NOT be effective

However, Singapore's fiscal multiplier is estimated at **0.5–0.7 (Extract B)**, significantly lower than in larger, less open economies. This is because each round of spending leaks heavily through high import demand (trade-to-GDP exceeds 300%), CPF contributions (reducing **MPC**), and moderate taxation. Furthermore, fiscal policy faces **time lags** — by the time spending reaches the economy, the recession may have deepened or recovered. If unemployment is **structural rather than demand-deficient**, fiscal expansion addresses the symptom (low AD) but not the root cause (skills mismatch).

### Step 4: Evaluation (SPECIES)

The effectiveness depends on the **time horizon (S)**: fiscal policy is a short-run demand management tool and cannot build long-term productive capacity. The **extent of the problem (E)** matters significantly: during the severe acute shock of COVID-19 (a 5.4% GDP contraction per Extract B), even a multiplier of 0.5–0.7 justifies large fiscal deployment. An **alternative (E)** — supply-side policies such as SkillsFuture retraining — addresses structural unemployment but takes years to take effect and cannot relieve immediate cyclical distress. A **policy conflict (P)** arises between growth and price stability: rapid fiscal expansion may contribute to demand-pull inflation if the economy recovers quickly and supply cannot keep pace.

### Step 5: Judgement

On balance, fiscal policy is **partially effective** in reducing demand-deficient unemployment in Singapore. The data in Extract B — unemployment peaking at **3.5%** despite a **5.4% GDP contraction** — suggests that targeted fiscal measures such as the JSS successfully preserved employment during the acute phase of the recession. However, its impact is limited by the small multiplier (0.5–0.7) inherent in Singapore's small and open economy. A combination of targeted fiscal measures in the short run and supply-side retraining in the long run is most appropriate.

## Example 3 — International Economics (10 marks): Does Singapore Benefit from Globalisation?

**Extract C (adapted):** Singapore's trade-to-GDP ratio exceeds 300%, making it one of the most globalised economies in the world. Real GDP per capita rose from approximately US\$12,000 in 1990 to over US\$65,000 by 2023, partly attributable to access to global export markets and FDI inflows. However, the Gini coefficient (before government transfers) rose from 0.43 in 2000 to a peak of 0.48 in 2013, before falling to 0.44 in 2023 following redistributive policies. The government's SkillsFuture programme, launched in 2015, provides Singaporeans with credits for skills upgrading, aiming to address structural unemployment arising from technological change and globalisation.

**Question:** 'Discuss whether Singapore benefits from globalisation.' [10]

### Step 1: Introduction

Globalisation refers to the increased integration of national economies through trade in goods and services, capital flows (FDI), technology transfer, and labour migration. Singapore, with a **trade-to-GDP ratio exceeding 300%** (Extract C) and no natural resources, is structurally dependent on globalisation to a degree that makes autarky not a realistic alternative.

### Step 2: Thesis — Singapore DOES benefit

First, globalisation expands Singapore's export markets beyond its domestic market of 5.9 million people. Export revenue drives AD upward, raising real GDP and employment. Extract C shows that real GDP per capita rose from approximately **US\$12,000 in 1990 to over US\$65,000 by 2023**, a trajectory impossible without global market access. Second, access to cheaper imported inputs lowers firms' production costs, shifting AS rightward — generating disinflationary growth. Third, FDI inflows create employment, transfer technology, and expand productive capacity. Fourth, international competition lowers consumer prices and increases variety, raising consumer surplus.

### Step 3: Antithesis — Costs of globalisation

However, globalisation exposes Singapore to **external shocks**. The economy contracted by 5.4% in 2020 as falling global demand hit export-dependent sectors directly. **Structural unemployment** arises as labour-intensive manufacturing shifts to lower-cost economies — displaced workers with limited transferable skills face occupational immobility. Extract C shows that income inequality worsened, with the **Gini coefficient rising from 0.43 in 2000 to a peak of 0.48 in 2013**. High-skilled workers capture a disproportionate share of globalisation's gains, while low-skilled workers face wage competition from foreign labour and automation. Furthermore, Singapore's monetary policy autonomy is constrained by capital mobility under the open-economy trilemma.

#### Step 4: Evaluation (SPECIES)

The **extent (E)** of Singapore's structural dependence on globalisation is so great that the gains are existential: Singapore cannot feed itself, fuel itself, or sustain its population without trade. The **impact on stakeholders (I)** is uneven (per Extract C): consumers and high-skilled workers benefit most, while low-skilled workers bear the costs. However, the government actively mitigates these costs through SkillsFuture (retraining) and redistributive fiscal policy — the **Gini fell from 0.48 to 0.44 after transfers**. In the **short run (S)**, external shocks cause severe output volatility. In the long run, Singapore's diversification through FTAs such as CPTPP and RCEP reduces dependence on any single market. The **side-effects (S)** of inequality and vulnerability are real but manageable through complementary domestic policies.

#### Step 5: Judgement

On balance, Singapore **benefits substantially from globalisation**. The growth in GDP per capita from US\$12,000 to US\$65,000 since 1990 (Extract C) would have been unachievable in a closed economy with no natural resources. However, this conclusion holds most strongly because Singapore actively manages the distributional and vulnerability costs through SkillsFuture, Workfare, and FTA diversification. Without these complementary policies, rising inequality (Gini 0.48 at peak) could undermine social cohesion. The conclusion would need significant qualification for larger, self-sufficient economies where the trade-off between gains from trade and external vulnerability is less stark.





## Appendix — SPECIES Evaluation by Topic

Each topic below includes a full 7-criterion SPECIES table and a **Top 3 Exam-Ready Moves** box. In exam conditions, **select 2–3 criteria** — do not attempt all seven. The 'How to write' column gives a ready-made sentence in italics; adapt it to the specific question context.

**How to use this appendix:** (1) *Identify your topic.* (2) *Check the Top 3 Exam-Ready Moves box first — these are the highest-yield evaluation moves.* (3) *If you need more depth, scan the full table for the 2–3 criteria most relevant to the specific question stem.*

## Topic 1 — The Price Mechanism: Demand, Supply, and Elasticity

**Typical question stems:** 'Assess the impact of [shock] on [market].' / 'Discuss whether a price floor/ceiling achieves its objective.' / 'To what extent is [policy] effective in managing price volatility?'

| Letter | Criterion                                    | Thesis application                                                                                                                     | Antithesis application                                                                                                           | How to write the evaluation sentence                                                                                                                                                                                                                                    | When to prioritise                                                                                          |
|--------|----------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| S      | <b>Short-run vs Long-run</b>                 | In the SR, supply is inelastic (fixed capacity). A demand shock causes a large price rise with little output adjustment.               | In the LR, supply becomes more elastic as firms enter/exit and expand capacity. Price adjusts back toward equilibrium.           | <i>"In the short run, the price rise will be large because PES is low — firms cannot immediately expand output. However, in the long run, higher prices attract new entrants, supply shifts rightward, and price falls back toward the original equilibrium level."</i> | Always relevant when a shock hits a market with fixed SR capacity (e.g. agriculture, housing, commodities). |
| P      | <b>Priorities of government</b>              | If the government prioritises low consumer prices (equity objective), it may introduce a price ceiling, even at the cost of shortages. | If the government prioritises producer incomes or food security, it may use a price floor or production subsidy instead.         | <i>"The choice of policy depends on the government's priority. If consumer welfare is the priority, a price ceiling is preferred. If producer income stability is the priority, a price floor or subsidy is more appropriate."</i>                                      | When evaluating alternative policies targeting the same market.                                             |
| E      | <b>Extent of the shock / elasticity</b>      | If PED and PES are both inelastic, even a small supply disruption causes a large price spike.                                          | If PED is elastic, a price rise significantly reduces quantity demanded, dampening the price increase.                           | <i>"The magnitude of the price change depends on the elasticity of both demand and supply. With inelastic PED (e.g. essential goods), a supply shock causes a proportionally larger price rise than with elastic PED."</i>                                              | Almost always relevant — elasticity determines the size of all price and quantity effects.                  |
| C      | <b>Cost (fiscal/opportunity)</b>             | Price controls (floors/ceilings) impose administrative and enforcement costs on the government.                                        | A buffer stock scheme requires large fiscal reserves to buy surplus and sell deficit — costly and subject to storage loss.       | <i>"A buffer stock scheme may be costly to maintain. The government must hold sufficient reserves to absorb large surpluses, and storage costs may erode the fiscal benefit over time."</i>                                                                             | When evaluating government stabilisation schemes or subsidy programmes.                                     |
| I      | <b>Impact on stakeholders</b>                | A price ceiling benefits consumers (lower prices) but harms producers (reduced revenue, possible exit).                                | A price floor benefits producers (guaranteed minimum revenue) but harms consumers (higher prices, deadweight loss if binding).   | <i>"A price ceiling benefits consumers through lower prices but creates allocative inefficiency: producers reduce output, leading to shortages. The welfare gain to consumers may be offset by reduced quality and black-market activity."</i>                          | When the question asks about the distributional effects of a price intervention.                            |
| E      | <b>Efficacy of alternatives</b>              | A production subsidy achieves lower consumer prices without creating a shortage (unlike a price ceiling).                              | However, a subsidy imposes a fiscal cost and may encourage overproduction if not carefully targeted.                             | <i>"An alternative to a price ceiling is a targeted production subsidy, which raises supply and lowers the equilibrium price without creating a shortage. However, the subsidy requires sustained fiscal expenditure and may distort production decisions."</i>         | When comparing price ceilings vs subsidies, or price floors vs buffer stocks.                               |
| S      | <b>Side-effects/ unintended consequences</b> | A price ceiling at below-equilibrium creates a persistent shortage, leading to black markets and non-price rationing (queues).         | A price floor at above-equilibrium creates a persistent surplus, requiring government purchases (fiscal cost) or export dumping. | <i>"A binding price ceiling, while protecting consumers, creates excess demand. Sellers may respond by establishing black markets at prices above the ceiling, eliminating the intended consumer benefit entirely."</i>                                                 | Almost always relevant — price controls consistently generate well-documented unintended consequences.      |

### Top 3 Exam-Ready Evaluation Moves

1. Elasticity-based evaluation: 'The magnitude of the price/quantity effect depends on PED/PES. Given [evidence], demand/supply is [elastic/inelastic], so the effect will be [large/small].'
2. SR vs LR market adjustment: 'In the SR, supply is inelastic and the price shock is severe. In the LR, market entry restores equilibrium — the key question is whether short-run intervention is warranted given this long-run self-correction mechanism.'
3. Unintended consequences of price controls: 'A binding price ceiling creates excess demand and may generate a black

market at a price above the ceiling, reversing the intended consumer benefit entirely.'

## Topic 2 — Market Failure: Externalities

**Typical question stems:** 'Assess the effectiveness of a tax/subsidy in correcting [externality].' / 'Discuss whether government intervention is justified in [market].' / 'Evaluate the most effective policy to correct [negative/positive externality].'

| Letter | Criterion                                   | Thesis application                                                                                                                                                       | Antithesis application                                                                                                                                                         | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                   | When to prioritise                                                                                                      |
|--------|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|
| S      | <b>Short-run vs Long-run</b>                | In the SR, a corrective tax raises prices but quantity may fall only slightly if PED is inelastic (e.g. cigarettes, petrol).                                             | In the LR, higher prices incentivise firms and consumers to invest in substitutes and cleaner technology (e.g. electric vehicles, renewable energy), increasing effectiveness. | <i>"In the short run, the corrective tax is limited by inelastic demand — quantity falls only marginally. However, in the long run, the tax incentivises innovation in clean technology, shifting both supply and demand curves and achieving a greater reduction in the externality."</i>                                                             | Essential for any tax/subsidy evaluation — the LR elasticity and technology argument differentiates L3 from L2 answers. |
| P      | <b>Priorities of government</b>             | If the priority is revenue generation, a Pigouvian tax on negative externalities serves a dual purpose.                                                                  | If the priority is equity, a regressive tax on essentials may conflict with distributional objectives — the government may prefer regulation or education instead.             | <i>"The government's choice between a tax and direct regulation depends on its priorities. If fiscal revenue is a secondary objective, a Pigouvian tax is preferred. If equity is the priority, a regulation or education campaign avoids the regressive burden."</i>                                                                                  | When comparing market-based vs non-market policies (tax vs regulation vs education).                                    |
| E      | <b>Extent of the externality (MEC/MEB)</b>  | If the MEC is large (e.g. carbon emissions causing irreversible climate damage), the social cost of inaction is high — even imperfect intervention is clearly justified. | If the externality is small or uncertain, the administrative cost of intervention may exceed the welfare gain.                                                                 | <i>"Whether intervention is justified depends on the extent of the externality. If the MEC is substantial and the damage irreversible (as with carbon), even an imprecise tax that partially corrects the market failure yields a net welfare gain."</i>                                                                                               | When evaluating whether the government should intervene at all.                                                         |
| C      | <b>Cost (fiscal/information)</b>            | A Pigouvian tax generates revenue that can fund further corrective measures or targeted transfers.                                                                       | The government may lack accurate information to set the tax at the precise MEC level — both over- and under-taxation create new deadweight losses.                             | <i>"A critical constraint on the corrective tax is the government's information problem. Setting the tax equal to MEC requires accurate measurement of external costs, which may be difficult or politically contested. An imprecisely set tax may over- or under-correct, creating a new deadweight loss."</i>                                        | Always relevant — the information problem is a core reason government intervention may fail.                            |
| I      | <b>Impact on stakeholders</b>               | Consumers of the taxed good face higher prices (lower CS). Producers face reduced revenue and possibly exit.                                                             | Third parties who previously bore the external cost benefit (non-smokers, local residents, etc.). Government gains tax revenue.                                                | <i>"The tax redistributes welfare: consumers and producers of the taxed good bear the cost, while third parties and the government gain. Whether this redistribution is acceptable depends on the relative magnitudes and on equity considerations (e.g. regressive burden on low-income households)."</i>                                             | When the question asks who gains and who loses from the policy.                                                         |
| E      | <b>Efficacy of alternatives</b>             | Regulation (e.g. emission standards, bans) directly limits the externality and is not subject to the information problem of setting the correct tax rate.                | However, regulation does not internalise the external cost — it removes the price signal and cannot achieve allocative efficiency. It may also be costly to enforce.           | <i>"An alternative to the Pigouvian tax is tradeable pollution permits (cap-and-trade). Permits fix the quantity of emissions and allow the price to be determined by the market, avoiding the information problem of setting the correct tax rate. However, permit prices are volatile and the system requires strong regulatory infrastructure."</i> | When the stem asks 'most effective policy' or compares tax vs regulation vs permits.                                    |
| S      | <b>Side-effects/unintended consequences</b> | A corrective tax on cigarettes or fuel is regressive — it takes a larger share of income from low-income households, worsening income inequality.                        | A ban on a negative externality activity may create a black market, removing the activity from regulatory oversight and potentially worsening harm.                            | <i>"The carbon tax, while correcting the externality, imposes a regressive burden. Lower-income households spend a higher proportion of income on energy. Without targeted transfers (e.g. U-Save rebates in Singapore), the tax worsens income"</i>                                                                                                   | Almost always relevant — regressivity of environmental taxes is a standard H2 evaluation point.                         |

| Letter | Criterion | Thesis application | Antithesis application | How to write the evaluation sentence | When to prioritise |
|--------|-----------|--------------------|------------------------|--------------------------------------|--------------------|
|        |           |                    |                        | <i>inequality."</i>                  |                    |

### Top 3 Exam-Ready Evaluation Moves

1. Information problem (Constraint layer): 'The corrective tax requires the government to accurately measure MEC. In practice, MEC is uncertain — if the tax is set below MEC, the market failure is only partially corrected; if above, a new DWL is created. This information constraint limits the tax's effectiveness in achieving the socially optimal outcome.'
2. LR technology incentive: 'In the long run, the Pigouvian tax incentivises firms to invest in cleaner technology, shifting the MPC curve back toward MSC independently of the tax. This enhances the long-run effectiveness of the policy beyond its short-run price effect alone.'
3. Regressivity + complementary policy: 'The tax is regressive. To preserve its corrective function while protecting equity, the government should recycle tax revenue into targeted transfers to low-income households (e.g. Singapore's U-Save rebates), addressing both the market failure and distributional concerns simultaneously.'

## Topic 3 — Market Failure: Public Goods and Information Failure

**Typical question stems:** 'Assess whether the government should directly provide [good/service].' / 'Discuss whether information failure justifies government intervention in [market].' / 'Evaluate the effectiveness of [labelling/education/regulation] in correcting information asymmetry.'

| Letter   | Criterion                                   | Thesis application                                                                                                                                                    | Antithesis application                                                                                                                                                 | How to write the evaluation sentence                                                                                                                                                                                                                                                                                            | When to prioritise                                                                    |
|----------|---------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| <b>S</b> | <b>Short-run vs Long-run</b>                | In the SR, direct provision fills the supply gap immediately (e.g. public housing, national defence).                                                                 | In the LR, direct provision may crowd out private innovation and create dependency; a subsidy or voucher scheme may be more sustainable.                               | <i>"Direct provision solves the under-supply problem in the short run. However, in the long run, it may crowd out private initiative — a subsidy to private providers or a voucher scheme may generate greater innovation and efficiency over time."</i>                                                                        | When comparing direct provision vs subsidy or voucher scheme.                         |
| <b>P</b> | <b>Priorities of government</b>             | If the priority is universal access (equity), direct provision ensures coverage regardless of ability to pay.                                                         | If the priority is fiscal sustainability and allocative efficiency, a targeted subsidy preserves consumer choice and limits government expenditure.                    | <i>"Whether direct provision or a subsidy is preferred depends on the government's priority. Universal access — especially for merit goods — favours direct provision. Fiscal sustainability favours means-tested subsidies that target those who would otherwise be excluded."</i>                                             | When the question asks about the 'best' policy for education, healthcare, or housing. |
| <b>E</b> | <b>Extent of the market failure</b>         | For pure public goods (non-excludable, non-rivalrous — e.g. national defence, flood control), the free-rider problem is complete and private provision is impossible. | For goods with information failure only (e.g. health screening, insurance), partial market provision exists — regulation or information campaigns may suffice.         | <i>"The appropriate intervention depends on the nature and extent of the market failure. For a pure public good with full free-rider problems, direct provision is necessary. For an information failure where some market provision exists, regulation or mandatory disclosure may be sufficient and less costly."</i>         | The first evaluative move for any public goods or information failure question.       |
| <b>C</b> | <b>Cost (fiscal/opportunity)</b>            | Direct provision is costly — the government must finance both capital and operational costs, creating a large fiscal burden.                                          | The opportunity cost of direct provision funding is high: resources could have been used for other public services or tax cuts.                                        | <i>"Direct provision of [good] imposes a large fiscal burden. In Singapore's context, expenditure must remain within the limits of the Net Investment Returns Contribution (NIRC). The opportunity cost — forgone spending on [alternative] — must be weighed against the welfare gain from correcting the market failure."</i> | Always relevant when direct provision is under evaluation.                            |
| <b>I</b> | <b>Impact on stakeholders</b>               | Direct provision benefits all citizens (especially low-income households) at the cost of taxpayers.                                                                   | Subsidies benefit targeted recipients but may distort behaviour (moral hazard) — subsidised health insurance may reduce individual investment in preventive health.    | <i>"A subsidy for health insurance benefits those who take it up, but may create moral hazard: subsidised consumers may engage in riskier behaviour because they bear less of the cost. Mandatory coverage (regulation) avoids this but reduces individual freedom."</i>                                                        | When evaluating redistribution effects or comparing subsidy vs regulation.            |
| <b>E</b> | <b>Efficacy of alternatives</b>             | For information failure: a mandatory disclosure/labelling scheme (e.g. Nutri-Grade in Singapore) corrects the information asymmetry at low fiscal cost.               | For public goods: a public-private partnership (PPP) preserves private sector efficiency while ensuring public access — but depends on contract design and monitoring. | <i>"An alternative to direct provision is a public-private partnership. PPPs leverage private sector efficiency in delivery while the government funds or guarantees access. However, PPPs require careful contract design to prevent cost overruns and quality deterioration."</i>                                             | When the stem says 'most effective' or asks for comparison with direct provision.     |
| <b>S</b> | <b>Side-effects/unintended consequences</b> | Direct provision may reduce incentives for private sector innovation (e.g. state-run hospitals may lag private hospitals in adopting new technology).                 | Information campaigns may be ineffective if the target population is irrational, inattentive, or distrustful of government messaging.                                  | <i>"Information campaigns face a fundamental limitation: they assume rational, attentive recipients. Behavioural economics research shows that individuals often discount future costs (e.g. health consequences</i>                                                                                                            | When evaluating information-based policies (education, labelling, campaigns).         |

| Letter | Criterion | Thesis application | Antithesis application | How to write the evaluation sentence                                                                                        | When to prioritise |
|--------|-----------|--------------------|------------------------|-----------------------------------------------------------------------------------------------------------------------------|--------------------|
|        |           |                    |                        | <i>of smoking), limiting the effectiveness of health education campaigns even when information is accurately conveyed."</i> |                    |

### Top 3 Exam-Ready Evaluation Moves

1. Nature of the good (Extent): 'The appropriateness of direct provision depends on whether the good is a pure public good (non-excludable, non-rivalrous) or merely a merit good with information failure. For the latter, a targeted subsidy or mandatory disclosure may be sufficient and less fiscally burdensome than full direct provision.'
2. Moral hazard (Side-effects): 'A subsidy for [health insurance/education] may create moral hazard — recipients bear less of the cost and may reduce their own precautionary behaviour, partially undermining the policy objective and generating unintended fiscal costs.'
3. Fiscal opportunity cost (Cost): 'Direct provision requires sustained government expenditure. In Singapore, the NIRC framework constrains fiscal spending. The opportunity cost of funding [public good] must be weighed against alternative uses of government revenue, such as targeted transfers or supply-side investment.'



## Topic 4 — Market Structure: Perfect Competition, Monopoly, Oligopoly

**Typical question stems:** 'Discuss whether consumers benefit from [market structure/firm behaviour].' / 'Assess the impact of a merger on economic efficiency.' / 'To what extent does market power harm consumer welfare?' / 'Evaluate the effectiveness of competition policy in [industry].'

| Letter   | Criterion                            | Thesis application                                                                                                                                               | Antithesis application                                                                                                                                                             | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                       | When to prioritise                                                                                                  |
|----------|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| <b>S</b> | <b>Short-run vs Long-run</b>         | In the SR, a monopolist earns supernormal profit by restricting output ( $P > MC$ ) — consumers pay higher prices and allocative inefficiency results.           | In the LR, supernormal profit may fund significant R&D investment, generating new products or lower-cost production methods (dynamic efficiency) that benefit consumers over time. | <i>"In the short run, the monopolist's restriction of output to where <math>MR = MC</math> results in <math>P &gt; MC</math>, allocative inefficiency, and a deadweight loss. However, in the long run, supernormal profits fund R&amp;D — the key question is whether the firm reinvests these profits into innovation (dynamic efficiency) or retains them as rent."</i> | Core evaluation move for any market structure question — the SR allocative harm vs LR dynamic efficiency trade-off. |
| <b>P</b> | <b>Priorities of government</b>      | If the priority is short-run consumer welfare (low prices), competition policy (breaking up monopolies, price regulation) is preferred.                          | If the priority is long-run innovation and international competitiveness, the government may tolerate or encourage market concentration (e.g. national champion strategy).         | <i>"Singapore's Competition and Consumer Commission (CCCS) reflects a priority for consumer welfare. However, the government may permit mergers that reduce domestic competition if they enhance international competitiveness — a priorities trade-off between short-run allocative efficiency and long-run dynamic capability."</i>                                      | When comparing competition policy vs industrial policy, or when government allows a merger.                         |
| <b>E</b> | <b>Extent of market power</b>        | A near-monopolist with very high market share and strong barriers to entry (e.g. network effects, IP) causes significant allocative and productive inefficiency. | In a loose oligopoly with low barriers to entry (contestable market), the threat of potential competition disciplines incumbent behaviour, limiting the allocative harm.           | <i>"Whether market power causes significant consumer harm depends on the contestability of the market. If barriers to entry are low, the threat of entry disciplines the incumbent to price closer to AC even without actual competition. High barriers are required for sustained allocative inefficiency."</i>                                                           | The first evaluative move for market power questions — establish the degree of contestability.                      |
| <b>C</b> | <b>Cost (regulatory/enforcement)</b> | Price regulation (e.g. price cap) corrects $P > MC$ but imposes compliance and monitoring costs on both the regulator and the firm.                              | Breaking up a monopoly to restore competition may destroy economies of scale, raising costs and potentially increasing prices — particularly damaging in a natural monopoly.       | <i>"Regulatory intervention in a natural monopoly (e.g. utilities, rail) carries a cost risk. Forcing a break-up destroys economies of scale — the LRAC of smaller firms may exceed the regulated price of the intact monopoly. A price cap preserves scale benefits while limiting monopoly pricing."</i>                                                                 | When evaluating competition policy against the natural monopoly argument.                                           |
| <b>I</b> | <b>Impact on stakeholders</b>        | Consumers face higher prices and lower output under monopoly (lower CS). Workers may benefit from higher wages in a profitable monopoly.                         | A merger may benefit shareholders (higher profits) and employees of the merged entity (job security) while harming rival firms and consumers.                                      | <i>"A merger between [firm A] and [firm B] creates differential welfare effects: shareholders gain from higher profits; consumers are harmed by higher prices and reduced choice; rival firms face more powerful competition. The net welfare impact depends on whether efficiency gains (EOS) are passed on to consumers."</i>                                            | When the question asks who wins and who loses from a merger or change in market structure.                          |
| <b>E</b> | <b>Efficacy of alternatives</b>      | A price cap directly limits the $P > MC$ mark-up without requiring structural change — preserving EOS while reducing consumer harm.                              | Nationalisation eliminates the profit motive but introduces government inefficiency, political pricing, and fiscal cost.                                                           | <i>"Compared to a competition policy break-up, a price cap regulation may be more effective for natural monopolies: it preserves EOS while preventing monopoly pricing. However, setting the cap too low reduces the incentive to invest in quality and capacity — the regulator faces an information asymmetry about true costs."</i>                                     | When comparing merger remedy options: structural (break-up) vs behavioural (price cap, access obligations).         |

| Letter | Criterion                                   | Thesis application                                                                                                                                             | Antithesis application                                                                                                                                           | How to write the evaluation sentence                                                                                                                                                                                                                                                                   | When to prioritise                                                                       |
|--------|---------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| S      | <b>Side-effects/unintended consequences</b> | Price cap regulation reduces the firm's incentive to invest in productive capacity and innovation — if the permitted return is too low, the firm underinvests. | Blocking a merger may cause firms to remain internationally uncompetitive, leading to exit or foreign acquisition — paradoxically reducing domestic competition. | <i>"A price cap set too aggressively may reduce the regulated firm's incentive to invest in network upgrades or R&amp;D. The long-run consequence of underinvestment (deteriorating service quality, capacity shortfalls) may be worse for consumers than the short-run benefit of the lower cap."</i> | When evaluating the long-run consequences of price regulation on investment and quality. |

### Top 3 Exam-Ready Evaluation Moves

1. SR allocative vs LR dynamic trade-off: 'In the short run, market power results in  $P > MC$  and DWL, harming consumers. In the long run, supernormal profits fund R&D (dynamic efficiency). The net impact on consumer welfare depends on whether supernormal profits are reinvested — this is the central trade-off in all market structure evaluation.'
2. Contestability (Extent): 'Whether the monopolist's market power causes significant harm depends on barriers to entry. If the market is contestable (low sunk costs, no IP barriers), the threat of entry disciplines behaviour, and competition policy intervention may be unnecessary.'
3. Natural monopoly cost trap (Cost): 'Breaking up a natural monopoly destroys economies of scale. The resulting higher LRAC may lead to higher, not lower, consumer prices — a price cap or access regulation is a less disruptive and more efficient remedy than forced structural separation.'

## Topic 5 — National Income, Circular Flow, and the Multiplier

**Typical question stems:** 'Assess whether GDP is a reliable indicator of living standards in [country].' / 'Discuss the impact of [injection/withdrawal] on national income.' / 'To what extent does the multiplier amplify the impact of [fiscal policy] on [economy]?'

| Letter   | Criterion                             | Thesis application                                                                                                                             | Antithesis application                                                                                                                                                                                                                         | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                               | When to prioritise                                                                              |
|----------|---------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>S</b> | <b>Short-run vs Long-run</b>          | In the SR, an injection (e.g. government spending) raises AD and national income through the multiplier process over successive rounds.        | In the LR, if the economy is near full capacity, successive rounds of spending generate diminishing real output gains and increasing inflationary pressure.                                                                                    | <i>"In the short run, the initial injection raises national income by a multiple of the original increase in spending (<math>k \times \Delta G</math>). However, in the long run, if the economy is operating near full employment, further increases in AD primarily raise the price level rather than real output — the multiplier effect on real income diminishes."</i>        | Always relevant when evaluating the effectiveness of fiscal stimulus.                           |
| <b>P</b> | <b>Priorities of government</b>       | If the priority is short-run demand stabilisation, expansionary fiscal policy directly raises AD and income.                                   | If the priority is long-run sustainable growth and low inflation, supply-side policies that raise AS are preferred — fiscal expansion risks demand-pull inflation.                                                                             | <i>"A government prioritising short-run employment may favour fiscal expansion. A government prioritising price stability and long-run growth may favour supply-side measures (SkillsFuture, labour market reform), which raise AS without generating inflationary pressure."</i>                                                                                                  | When the question involves a choice between demand-side and supply-side policy.                 |
| <b>E</b> | <b>Extent: size of the multiplier</b> | In a large, closed economy with a high MPC and low tax rates, the multiplier is large — a given injection has a large effect on income.        | In Singapore's small, open economy with high CPF savings (low MPC), high import leakages (MPM), and moderate taxes, the multiplier is estimated at 0.5–0.7 — significantly smaller than in larger economies.                                   | <i>"The effectiveness of fiscal stimulus in Singapore is limited by the small multiplier (~0.5–0.7), driven by high import leakages (trade-to-GDP &gt;300%), high CPF savings (reducing MPC out of disposable income), and moderate income taxes. Each dollar of government spending raises national income by less than one dollar."</i>                                          | Essential for any Singapore-specific macro question involving fiscal policy.                    |
| <b>C</b> | <b>Cost (fiscal sustainability)</b>   | Expansionary fiscal policy reduces the fiscal surplus (or increases the deficit), creating future tax liabilities.                             | In Singapore, fiscal policy is constrained by the balanced-budget rule (over an electoral term) and the NIRC framework — sustained deficits are not feasible.                                                                                  | <i>"A sustained fiscal stimulus raises concerns about fiscal sustainability. Singapore's balanced-budget constitutional norm means large, persistent deficits are not available as a policy tool — fiscal expansion during recessions must be financed from past reserves, requiring Presidential concurrence."</i>                                                                | Always relevant in Singapore-context macro questions.                                           |
| <b>I</b> | <b>Impact on stakeholders</b>         | A rise in national income benefits workers (higher employment, wages) and firms (higher revenues).                                             | If income growth is concentrated in high-skill sectors, the Gini coefficient may rise even as average income increases — the gap between aggregate and distributional outcomes.                                                                | <i>"GDP growth does not automatically imply improved welfare for all. If the income gains accrue primarily to high-skilled workers and capital owners, income inequality widens. GDP per capita is an average — it masks distributional effects and does not capture the welfare of lower-income groups."</i>                                                                      | When evaluating GDP as a welfare indicator, or when growth is accompanied by rising inequality. |
| <b>E</b> | <b>Efficacy of alternatives</b>       | Monetary policy (interest rate cuts or exchange rate adjustments) can also stimulate AD — potentially faster and without a direct fiscal cost. | In Singapore's context, MAS uses exchange rate policy rather than interest rates — a flattening of the appreciation slope (loosening of monetary stance) affects import costs and export competitiveness rather than directly injecting money. | <i>"In Singapore, the alternative to fiscal stimulus is a loosening adjustment to the MAS exchange rate band — reducing the slope of SGD appreciation raises export competitiveness and stimulates net exports (a component of AD), without requiring direct fiscal expenditure. However, a weaker SGD also raises import costs, potentially adding to inflationary pressure."</i> | When comparing fiscal vs exchange-rate-centred monetary policy in Singapore.                    |

| Letter | Criterion                                   | Thesis application                                                                                                                                | Antithesis application                                                                                                          | How to write the evaluation sentence                                                                                                                                                                                                                                                                                  | When to prioritise                                                         |
|--------|---------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|
| S      | <b>Side-effects/unintended consequences</b> | Fiscal expansion raises AD and may cause demand-pull inflation if the economy is near full employment, eroding the real value of the income gain. | Repeated fiscal expansion may create a structural deficit, raising public debt and potentially crowding out private investment. | <i>"A potential unintended consequence of sustained fiscal stimulus is demand-pull inflation: if the output gap closes and the economy reaches full capacity, further AD increases raise the price level rather than real output, eroding the real income gains and potentially harming fixed-income households."</i> | When the question involves the risk of inflation from expansionary policy. |

### **Top 3 Exam-Ready Evaluation Moves**

1. Singapore multiplier (Extent): 'The effectiveness of fiscal stimulus in Singapore is fundamentally limited by the small multiplier (~0.5–0.7). High import leakages (trade-to-GDP >300%) and high CPF savings mean that most injections leak out of the circular flow rapidly, limiting the income-amplification effect significantly.'
2. GDP vs welfare (Impact): 'GDP growth does not fully capture improvements in living standards. Distributional effects (Gini coefficient), non-market activities, leisure, and environmental quality are excluded. A rising GDP coexisting with a rising Gini may represent an improvement in aggregate welfare but a deterioration for lower-income groups.'
3. Fiscal sustainability in Singapore (Cost): 'Singapore's balanced-budget norm and NIRC framework constrain the government's ability to run sustained deficits. Fiscal expansion is available as a counter-cyclical tool in severe recessions (funded from past reserves) but is not a permanent instrument — this limits the long-run applicability of fiscal policy as a growth driver.'

## Topic 6 — Aggregate Demand and Aggregate Supply (AD/AS)

**Typical question stems:** 'Assess the impact of [shock] on the macroeconomic performance of [economy].' / 'Discuss whether [policy] can simultaneously achieve [two macro objectives].' / 'Evaluate the effectiveness of [demand-side vs supply-side policy] in improving macroeconomic performance.'

| Letter   | Criterion                              | Thesis application                                                                                                                                                  | Antithesis application                                                                                                                                                                               | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                                  | When to prioritise                                                                                            |
|----------|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| <b>S</b> | <b>Short-run vs Long-run</b>           | In the SR, an AD shock raises real output and the price level along the SRAS curve.                                                                                 | In the LR, if the economy returns to full employment (LRAS), the output gain is eliminated and only the price level remains permanently higher.                                                      | <i>"An AD expansion raises real output and employment in the short run. However, in the long run, wages and costs adjust upward — SRAS shifts left back toward LRAS, returning output to the full employment level at a permanently higher price level. The long-run impact of AD policy is primarily inflationary."</i>                                                              | Core evaluation for any AD-based policy — distinguish SR real output effect from LR price level effect.       |
| <b>P</b> | <b>Priorities of government</b>        | If the priority is short-run employment and output recovery (e.g. during a recession), expansionary AD policy is appropriate.                                       | If the priority is long-run price stability and sustainable growth, supply-side policies that shift LRAS rightward are preferred.                                                                    | <i>"The appropriate policy depends on the government's priority and the state of the economy. During a severe recession (large negative output gap), AD expansion is justified to restore employment. Near full employment, supply-side measures that shift LRAS rightward achieve non-inflationary growth."</i>                                                                      | Always relevant — the choice between demand-side and supply-side reflects a fundamental priorities trade-off. |
| <b>E</b> | <b>Extent: output gap and capacity</b> | If the economy has a large negative output gap, AD expansion moves output toward LRAS with minimal inflationary pressure (Keynesian range of AS).                   | If the economy is near full employment, the AS curve is steep (Classical range) — AD expansion is primarily inflationary, not expansionary.                                                          | <i>"The effectiveness of AD policy depends critically on the position of the economy relative to LRAS. With a large negative output gap (Keynesian range), AD expansion raises real output significantly with minimal inflation. Near full employment (Classical range), the same expansion is largely inflationary — the shape of the AS curve determines the policy trade-off."</i> | Always the first evaluative question for AD/AS policy — what is the current output gap?                       |
| <b>C</b> | <b>Cost (fiscal/inflation risk)</b>    | Expansionary fiscal policy raises the fiscal deficit. Supply-side policies (education, infrastructure) have high upfront costs and long gestation periods.          | The opportunity cost of supply-side investment is immediate — fiscal resources that could have been used for social transfers or tax cuts.                                                           | <i>"Supply-side policies such as investment in education and infrastructure have a long gestation period — productivity gains may take 10–20 years to materialise. The immediate fiscal cost is high and the government must sustain the investment over multiple electoral cycles for the LRAS shift to occur."</i>                                                                  | When comparing the time horizon and fiscal cost of demand-side vs supply-side policies.                       |
| <b>I</b> | <b>Impact on stakeholders</b>          | AD expansion benefits workers (higher employment) and firms (higher revenues) but may harm fixed-income households through inflation.                               | Supply-side reforms (labour market flexibility, reduced protection) benefit dynamic firms but may harm workers in protected industries.                                                              | <i>"An AD expansion benefits workers through lower unemployment but may harm households on fixed incomes (e.g. retirees) through demand-pull inflation. A supply-side reform that increases labour market flexibility benefits firms but may increase insecurity for low-skilled workers — the distributional effects of each policy differ significantly."</i>                       | When evaluating the distributional consequences of macro policy on different household groups.                |
| <b>E</b> | <b>Efficacy of alternatives</b>        | In Singapore, exchange rate adjustment (MAS policy) is the primary macro stabilisation tool — more direct and faster than fiscal policy given the small multiplier. | Monetary policy via interest rates is constrained by the open-economy trilemma — Singapore has surrendered interest rate autonomy in exchange for free capital mobility and a managed exchange rate. | <i>"In Singapore's context, fiscal policy is less effective than exchange rate adjustment as a counter-cyclical tool, given the small multiplier and balanced-budget constraint. MAS's exchange rate policy acts faster and does not create a fiscal deficit. However, exchange rate</i>                                                                                              | Singapore-specific: always compare fiscal policy vs MAS exchange rate policy.                                 |

| Letter   | Criterion                                   | Thesis application                                                                                                     | Antithesis application                                                                                                                                          | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                                    | When to prioritise                                                                                          |
|----------|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
|          |                                             |                                                                                                                        |                                                                                                                                                                 | <i>appreciation to control inflation simultaneously reduces export competitiveness — reflecting an inherent policy trade-off."</i>                                                                                                                                                                                                                                                      |                                                                                                             |
| <b>S</b> | <b>Side-effects/unintended consequences</b> | Persistent AD expansion risks demand-pull inflation — if the output gap closes, further stimulus is counterproductive. | Supply-side policies that reduce labour market protection may increase income inequality and social insecurity, requiring compensating redistributive measures. | <i>"Sustained AD expansion risks overheating the economy. Once the output gap closes, further fiscal expansion generates inflation without real output gains. In Singapore's 2022–23 experience, post-COVID demand recovery combined with imported inflation required MAS to tighten the exchange rate band — a reminder that earlier fiscal support must eventually be withdrawn."</i> | Grounding evaluation in Singapore's recent macroeconomic history (2020–2024) strengthens application marks. |

### Top 3 Exam-Ready Evaluation Moves

1. Output gap position (Extent): 'The effectiveness of AD expansion depends on the current output gap. In the Keynesian range (large negative gap), real output rises significantly with minimal inflation. In the Classical range (near full employment), the same expansion is primarily inflationary — this is the most important contextual variable for any AD policy question.'
2. LR neutrality of AD policy: 'In the long run, AD policy is neutral in real terms — wages and costs adjust, SRAS shifts left, and output returns to LRAS. The permanent effect of AD expansion is a higher price level, not higher real output. Only AS-side policies can permanently raise the full-employment output level.'
3. Singapore: MAS vs fiscal (Alternatives): 'Singapore's primary counter-cyclical tool is the MAS exchange rate, not fiscal policy. The small multiplier (0.5–0.7) and balanced-budget norm limit fiscal effectiveness. Exchange rate adjustment acts faster and avoids a fiscal deficit, but creates a competitiveness trade-off for exporters.'



## Topic 7 — Unemployment

**Typical question stems:** 'Assess the effectiveness of [policy] in reducing unemployment in [economy].' / 'Discuss whether [demand-side or supply-side] policy is more appropriate to address unemployment in [country].' / 'To what extent can the government reduce structural unemployment?'

| Letter   | Criterion                                        | Thesis application                                                                                                                                       | Antithesis application                                                                                                                                                                | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                           | When to prioritise                                                                             |
|----------|--------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| <b>S</b> | <b>Short-run vs Long-run</b>                     | In the SR, expansionary fiscal or monetary policy raises AD, reducing cyclical unemployment relatively quickly.                                          | In the LR, structural unemployment (skills mismatch, occupational immobility) requires supply-side measures — retraining, education reform — that take years to have effect.          | <i>"Demand-side policies effectively reduce cyclical unemployment in the short run by raising AD and labour demand. However, structural unemployment — caused by a permanent mismatch between worker skills and available jobs — persists even at full capacity. Supply-side retraining programmes address the root cause but require years to retrain workers."</i>           | Essential — always distinguish the type of unemployment before evaluating the policy.          |
| <b>P</b> | <b>Priorities of government</b>                  | If the priority is rapid employment recovery (e.g. during a recession), AD expansion provides faster relief.                                             | If the priority is long-run labour productivity and sustainable employment, structural reforms (education, retraining, immigration policy) are preferred.                             | <i>"The appropriateness of demand-side vs supply-side policy depends on the government's priority and the dominant type of unemployment. If cyclical unemployment dominates, AD expansion is justified. If structural unemployment dominates — as in Singapore's case with rapid technological displacement — supply-side investment in reskilling is more appropriate."</i>   | Always identify the dominant type of unemployment before recommending a policy.                |
| <b>E</b> | <b>Extent: type and severity of unemployment</b> | Cyclical (demand-deficient) unemployment responds directly to AD expansion. Structural unemployment does not — AD policy cannot address skills mismatch. | Frictional unemployment (short-term job search) requires improvements in job-matching efficiency, not macro-level stimulus.                                                           | <i>"The policy prescription depends critically on the type of unemployment. If unemployment is primarily cyclical (large negative output gap), AD expansion is effective. If primarily structural (technological displacement), demand-side policy is ineffective — output rises but the displaced workers lack the skills for available jobs."</i>                            | The most important evaluative distinction in any unemployment question.                        |
| <b>C</b> | <b>Cost (fiscal and social)</b>                  | Extended fiscal expansion to sustain employment imposes fiscal costs — rising deficits or crowding out.                                                  | Supply-side retraining is individually costly in terms of time and effort, and socially costly in terms of fiscal expenditure on programmes with uncertain outcomes.                  | <i>"Retraining programmes such as SkillsFuture impose both private costs (worker time, effort, earnings foregone) and public costs (programme funding). The return on investment is uncertain — retraining effectiveness depends on programme quality and the willingness of displaced workers to participate."</i>                                                            | When evaluating the cost-effectiveness of supply-side labour market policies.                  |
| <b>I</b> | <b>Impact on stakeholders</b>                    | Cyclical unemployment reduction benefits workers (income, wellbeing) and the government (lower transfer costs, higher tax revenue).                      | Structural unemployment harms older, lower-skilled workers most severely — they face the greatest occupational immobility and are least likely to benefit from retraining programmes. | <i>"The burden of structural unemployment falls disproportionately on older, lower-skilled workers with limited transferable skills. Even if aggregate unemployment is low (as in Singapore at ~2%), structural displacement creates pockets of persistent hardship. Workfare supplements the incomes of low-wage workers but does not resolve the underlying skills gap."</i> | When evaluating who bears the cost of structural unemployment and whether policies reach them. |
| <b>E</b> | <b>Efficacy of alternatives</b>                  | Immigration policy (importing skilled labour) fills short-run structural labour shortages faster than domestic retraining.                               | However, excessive reliance on immigration reduces wages for local workers and delays the development of domestic human capital.                                                      | <i>"An alternative to domestic retraining for structural unemployment is immigration of skilled workers (e.g. Singapore's Employment Pass scheme). This fills skills gaps faster than"</i>                                                                                                                                                                                     | Singapore-specific: evaluate immigration vs domestic reskilling for structural unemployment.   |

| Letter   | Criterion                                   | Thesis application                                                                                                                                     | Antithesis application                                                                                         | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                 | When to prioritise                                                                                                              |
|----------|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
|          |                                             |                                                                                                                                                        |                                                                                                                | <i>retraining, but may depress wages for local mid-skilled workers and reduces the urgency of investing in domestic human capital. Singapore's Fair Consideration Framework attempts to balance these trade-offs."</i>                                                                                                               |                                                                                                                                 |
| <b>S</b> | <b>Side-effects/unintended consequences</b> | Aggressive wage-support schemes (e.g. wage subsidies) may slow labour market adjustment by artificially preserving employment in declining industries. | A minimum wage set above the market equilibrium wage may increase unemployment among low-productivity workers. | <i>"Wage subsidies, while preventing unemployment in the short run, may create structural rigidities: firms retain workers in declining sectors longer than is economically efficient, delaying the reallocation of labour to more productive sectors. The long-run cost may be a slower transition to higher-value industries."</i> | When evaluating wage intervention policies — distinguish short-run employment preservation from long-run structural adjustment. |

### Top 3 Exam-Ready Evaluation Moves

1. Type of unemployment determines the policy (Extent): 'The most important evaluative move for any unemployment question is to identify the dominant type. Cyclical unemployment responds to AD expansion. Structural unemployment does not — it requires supply-side retraining and education reform. Applying demand-side policy to structural unemployment is ineffective because it raises output without resolving the underlying skills mismatch.'
2. Supply-side time lag (SR vs LR): 'Supply-side policies (SkillsFuture, education reform) address structural unemployment at the root but have long gestation periods — 5 to 10 years for retraining programmes to produce measurable changes in the skill composition of the workforce. In the short run, displaced workers need income support (Workfare, JSS) alongside retraining.'
3. Singapore: structural unemployment hidden in low headline rate (Impact): 'Singapore's headline unemployment rate (~2%) understates structural displacement. A significant share of the workforce may be underemployed or employed below their skill level. Workfare and Progressive Wage Model policies address the welfare of low-wage workers but do not resolve the underlying structural skills gap.'



## Topic 8 — Inflation and Deflation

**Typical question stems:** 'Assess the effectiveness of [MAS exchange rate policy/fiscal policy] in managing inflation in Singapore.' / 'Discuss whether [demand-pull/cost-push] inflation requires different policy responses.' / 'To what extent is deflation harmful to an economy?'

| Letter   | Criterion                                       | Thesis application                                                                                                                                   | Antithesis application                                                                                                                                                                                                             | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                                              | When to prioritise                                                                               |
|----------|-------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| <b>S</b> | <b>Short-run vs Long-run</b>                    | In the SR, cost-push inflation raises prices and reduces output simultaneously (stagflation) — difficult to address with standard demand-side tools. | In the LR, sustained inflation erodes the real value of money, distorts price signals, and reduces the efficiency of the market mechanism.                                                                                         | <i>"In the short run, demand-pull inflation can be reduced by tightening AD (MAS appreciation, fiscal contraction). Cost-push inflation is harder to address: tightening AD reduces inflation but worsens the output contraction. In the long run, entrenched inflation expectations raise the cost of disinflation — early and credible policy action is less costly than delayed response."</i> | Distinguish demand-pull from cost-push — they require different policy responses in the SR.      |
| <b>P</b> | <b>Priorities of government</b>                 | If the priority is price stability, the MAS steepens the SGD appreciation slope — reducing import prices through a stronger SGD.                     | If the priority is employment and output, the government may tolerate some inflation rather than risk tightening into a recession.                                                                                                 | <i>"MAS faces a priority trade-off: steepening the appreciation slope of the exchange rate band reduces imported inflation through a stronger SGD, but raises export costs, potentially harming Singapore's export-oriented sectors and employment. The priority choice — price stability vs competitiveness — determines the degree of tightening applied."</i>                                  | Singapore-specific: the MAS exchange rate as the primary inflation management tool.              |
| <b>E</b> | <b>Extent: severity and source of inflation</b> | Mild, demand-driven inflation (small output gap closure) may require only gradual exchange rate appreciation.                                        | Severe, imported cost-push inflation (e.g. global energy/food price shocks, as in 2022–23) may overwhelm exchange rate tools alone — requiring complementary fiscal support (targeted transfers) to protect low-income households. | <i>"The appropriate policy response depends on the source and severity of inflation. Demand-pull inflation responds to AD tightening. Cost-push inflation from external sources is less responsive — if global commodity prices rise sharply across all currencies, the exchange rate tool is insufficient on its own."</i>                                                                       | Always identify the source of inflation (demand-pull vs cost-push) before evaluating the policy. |
| <b>C</b> | <b>Cost (output sacrifice/competitiveness)</b>  | Tightening the exchange rate reduces inflation but raises the SGD, increasing the cost of Singapore's exports and reducing export competitiveness.   | The output sacrifice ratio — the amount of real GDP forgone per percentage point reduction in inflation — measures the cost of disinflation. Entrenched inflation expectations raise this ratio.                                   | <i>"MAS's exchange rate tightening reduces imported inflation but imposes a cost on export-oriented firms through reduced price competitiveness. This reflects the fundamental trade-off in Singapore's exchange-rate-centred monetary framework: lower inflation comes at the cost of higher export prices and potentially lower export revenue."</i>                                            | Core evaluation for MAS exchange rate policy — inflation vs competitiveness trade-off.           |
| <b>I</b> | <b>Impact on stakeholders</b>                   | Inflation harms fixed-income households (e.g. retirees living on savings) and those with fixed nominal wages — their real purchasing power falls.    | Debtors benefit from inflation (real value of debt falls); creditors are harmed. Firms with pricing power can pass on costs; those without cannot.                                                                                 | <i>"Inflation has differential welfare effects. Fixed-income households (e.g. retirees) suffer the most as their real purchasing power falls. Homeowners with mortgages benefit as the real debt burden falls. The distributional impact justifies targeted transfers (GST vouchers, U-Save rebates) alongside monetary tightening."</i>                                                          | When evaluating the social consequences of inflation or deflation policy.                        |
| <b>E</b> | <b>Efficacy of alternatives</b>                 | Fiscal transfers (GST vouchers, cash payouts) directly support low-income households hurt by inflation without further suppressing AD.               | Supply-side measures (reducing import dependence, building strategic reserves) address cost-push inflation at the source but take years to implement.                                                                              | <i>"A targeted fiscal transfer (e.g. Singapore's Cost-of-Living package) addresses the distributional harm of inflation without tightening AD. Unlike exchange rate appreciation, it does not reduce output. However, if transfers are too large, they</i>                                                                                                                                        | When evaluating the combination of exchange rate policy + fiscal support in Singapore.           |

| Letter   | Criterion                                   | Thesis application                                                                                                                      | Antithesis application                                                                                                                                      | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                    | When to prioritise                                                  |
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|          |                                             |                                                                                                                                         |                                                                                                                                                             | <i>may add to AD and worsen demand-pull inflation — requiring careful calibration."</i>                                                                                                                                                                                                                                                                                 |                                                                     |
| <b>S</b> | <b>Side-effects/unintended consequences</b> | Aggressive disinflation (sharp exchange rate appreciation) may cause the economy to overshoot into deflation — a more damaging outcome. | Prolonged deflation causes consumers to defer purchases (expecting further price falls), reducing AD, investment, and employment — the deflationary spiral. | <i>"Deflation is more damaging than moderate inflation. The Fisher debt-deflation effect — rising real debt burdens as prices fall — can trigger corporate bankruptcies and household distress, further reducing consumption and investment. Japan's 'Lost Decades' illustrate the difficulty of escaping a deflationary trap once expectations become entrenched."</i> | When evaluating whether deflation or inflation is the greater risk. |

### Top 3 Exam-Ready Evaluation Moves

1. Source of inflation determines policy (Extent): 'Demand-pull inflation responds to AD tightening (MAS appreciation). Cost-push inflation from external sources is less responsive — if global commodity prices rise across all currencies simultaneously, exchange rate appreciation reduces but cannot eliminate the cost shock. Complementary fiscal transfers are needed to protect vulnerable households.'
2. MAS exchange rate trade-off (Cost): 'MAS's SGD appreciation reduces imported inflation but raises export prices, reducing export competitiveness. This trade-off is inherent in Singapore's exchange-rate-centred monetary framework — lower inflation and export competitiveness cannot be simultaneously maximised.'
3. Deflation risk (Side-effects): 'Deflationary expectations are self-fulfilling and extremely difficult to reverse. Once households and firms expect prices to fall, deferred consumption and investment accelerate the deflation. The asymmetry between mild inflation (manageable) and deflation (potentially catastrophic) justifies a preference for a small positive inflation target.'

## Topic 9 — Economic Growth

**Typical question stems:** 'Assess the effectiveness of [supply-side policy] in promoting economic growth in [economy].' / 'Discuss the costs and benefits of economic growth.' / 'To what extent can [economy] achieve sustainable and inclusive growth?'

| Letter   | Criterion                                           | Thesis application                                                                                                                                                     | Antithesis application                                                                                                                                                                  | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                   | When to prioritise                                                                                                                                     |
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| <b>S</b> | <b>Short-run vs Long-run</b>                        | In the SR, growth can be achieved by increasing factor utilisation (closing the output gap via AD expansion) — actual growth without raising productive capacity.      | In the LR, only supply-side policies that shift LRAS rightward — via increases in the quantity or quality of factors of production — generate sustainable potential growth.             | "Short-run growth from AD expansion closes the output gap but does not expand productive capacity. Only supply-side investments — in education, technology, infrastructure — shift LRAS rightward, raising the full employment level and sustaining long-run growth without inflationary pressure."                                                    | Distinguish actual growth (AD closing output gap) from potential growth (LRAS shifting right) — the foundational distinction for all growth questions. |
| <b>P</b> | <b>Priorities of government</b>                     | If the priority is inclusive growth, the government invests in broad-based human capital development (universal education, healthcare) and redistribution.             | If the priority is maximising aggregate growth rate, it may concentrate investment in high-productivity sectors and attract FDI — risking inequality if benefits are not widely shared. | "Singapore's growth model has historically prioritised aggregate output growth through FDI attraction, human capital investment, and productivity enhancement. Redistribution — through Workfare, CPF top-ups, and Progressive Wage Model — has been a secondary policy objective to ensure growth is broadly shared."                                 | When evaluating growth vs equity or sustainability trade-offs.                                                                                         |
| <b>E</b> | <b>Extent of existing resource underutilisation</b> | If the economy has a large negative output gap, AD expansion generates real growth quickly by employing idle resources.                                                | If the economy is already near full employment (as in Singapore with ~2% unemployment), further growth requires productivity improvement — AD expansion is primarily inflationary.      | "In Singapore, the economy typically operates near full employment. Meaningful long-run growth therefore requires total factor productivity (TFP) growth, not factor accumulation — the growth model must shift from input-driven to innovation-driven. The extent of remaining factor slack determines how much AD-driven growth is still available." | Always assess the current position relative to LRAS before prescribing growth policy.                                                                  |
| <b>C</b> | <b>Cost of growth (externalities/inequality)</b>    | Rapid industrialisation-driven growth may generate environmental degradation (negative externalities), depleting natural capital and imposing future costs.            | Growth that disproportionately benefits high-skilled workers may widen income inequality (rising Gini), requiring costly redistributive policies to maintain social cohesion.           | "Economic growth is not costless. Rapid industrial growth may deplete environmental resources and generate pollution. Singapore's carbon tax (\$25/tonne in 2024, rising to \$50–80/tonne by 2030) reflects the government's recognition that sustainable growth requires internalising environmental costs."                                          | When evaluating the sustainability of a growth strategy.                                                                                               |
| <b>I</b> | <b>Impact on stakeholders</b>                       | Aggregate growth raises average living standards, but low-skilled workers may not benefit if growth is skill-biased (technological change favours high-skill workers). | High-income earners benefit from wealth effects (rising asset prices) and higher wages; low-income earners benefit mainly through employment and wage growth at the bottom.             | "Growth in Singapore has raised average incomes substantially (GDP per capita from ~US\$12,000 in 1990 to US\$65,000+ by 2023). However, the Gini coefficient has fluctuated, suggesting that growth benefits have not been evenly distributed. Inclusive growth requires complementary policies: Progressive Wage Model, Workfare, SkillsFuture."     | When evaluating whether growth benefits all groups or primarily high-income earners.                                                                   |
| <b>E</b> | <b>Efficacy of alternatives</b>                     | FDI-led growth provides capital, technology, and employment quickly but makes the economy externally dependent and may suppress domestic entrepreneurship.             | Innovation-led growth (domestic R&D, startup ecosystem) is more sustainable but takes longer to develop and requires significant upfront investment in R&D infrastructure.              | "An alternative to FDI-led growth is innovation-led growth through domestic R&D investment. Singapore's Research, Innovation and Enterprise (RIE) plans reflect this strategic shift. However, building genuine domestic innovation capability takes decades and requires a cultural                                                                   | When evaluating alternative growth models: factor accumulation vs productivity-driven vs FDI-led.                                                      |

| Letter   | Criterion                                            | Thesis application                                                                                                                   | Antithesis application                                                                                                                                                     | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                       | When to prioritise                                                                                    |
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|          |                                                      |                                                                                                                                      |                                                                                                                                                                            | <i>shift from execution-oriented to entrepreneurial risk-taking."</i>                                                                                                                                                                                                                                                                                      |                                                                                                       |
| <b>S</b> | <b>Side-effects/<br/>unintended<br/>consequences</b> | Rapid growth may overheat the economy (demand-pull inflation) and attract speculative capital inflows, creating asset price bubbles. | Growth-focused policies that neglect environmental sustainability may generate long-run resource depletion and climate-related costs that outweigh short-run output gains. | <i>"Growth-focused policies carry environmental risks. Without carbon pricing and environmental regulation, rapid industrialisation externalises pollution costs onto society. Singapore's carbon tax trajectory (rising to S\$50–80/tonne by 2030) reflects the government's recognition that sustainable growth requires internalising these costs."</i> | When evaluating the sustainability of growth or the role of environmental policy in a growth context. |

### Top 3 Exam-Ready Evaluation Moves

1. Actual vs potential growth (SR vs LR): 'Short-run growth from AD expansion closes the output gap without raising productive capacity — it is inherently limited and inflationary near full employment. Only supply-side policies that shift LRAS rightward generate sustainable potential growth. Singapore, near full employment, must focus on the latter.'
2. Productivity imperative (Extent): 'Singapore's economy is near full employment, meaning factor accumulation is largely exhausted as a growth driver. Continued growth requires total factor productivity (TFP) improvement — shifting from input-driven to innovation-driven growth. This makes supply-side policies (R&D investment, SkillsFuture, RIE plans) the primary growth tool.'
3. Inclusive growth trade-off (Priorities): 'Maximising aggregate growth rate and ensuring inclusive growth are not always compatible. Skill-biased technological change concentrates gains among high-skill workers. Complementary redistributive policies (Progressive Wage Model, Workfare) are necessary to ensure that growth benefits lower-income groups and maintains social cohesion.'

## Topic 10 — Balance of Payments (BOP)

**Typical question stems:** 'Assess the effectiveness of [policy] in correcting a current account deficit.' / 'Discuss whether a current account surplus is beneficial for [economy].' / 'To what extent can exchange rate depreciation improve the current account?'

| Letter   | Criterion                                            | Thesis application                                                                                                                                                                     | Antithesis application                                                                                                                                                      | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                            | When to prioritise                                                                                                   |
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| <b>S</b> | <b>Short-run vs Long-run (J-Curve)</b>               | In the SR following a depreciation, the trade balance often worsens before improving — the J-curve effect. Export and import volumes are slow to adjust as existing contracts persist. | In the LR, once PED for exports and imports rises (Marshall-Lerner condition met), export volumes rise and import volumes fall sufficiently to improve the current account. | "Exchange rate depreciation is subject to the J-curve effect. In the short run, import prices rise faster than import volumes fall (inelastic demand), worsening the trade balance. Only in the long run, once producers and consumers adjust and find substitutes, does the current account improve — provided $PED_x + PED_m > 1$ ."                          | Essential for any exchange rate and current account question — the J-curve is a standard H2 evaluation point.        |
| <b>P</b> | <b>Priorities of government</b>                      | If the priority is reducing the current account deficit, expenditure-switching (depreciation) or expenditure-reducing (contractionary fiscal) policies can be used.                    | If the priority is domestic employment, the government may resist expenditure-reducing policies that lower AD and increase unemployment.                                    | "Correcting a current account deficit via expenditure-reducing policies (fiscal contraction, higher interest rates) would lower import demand but also reduce domestic output and employment. If employment is the priority, the government may prefer structural supply-side measures — boosting export competitiveness — over demand compression."            | When evaluating expenditure-switching vs expenditure-reducing policies for current account correction.               |
| <b>E</b> | <b>Extent: size of deficit and trade composition</b> | A large structural current account deficit requires structural supply-side reform — exchange rate adjustment alone is insufficient.                                                    | A cyclical deficit (caused by strong domestic demand during an upswing) may self-correct as the cycle turns — intervention may be unnecessary.                              | "Whether the deficit requires active policy intervention depends on its nature. A cyclical deficit caused by strong domestic demand will narrow as the economy slows. A structural deficit — reflecting fundamental uncompetitiveness of exports — requires supply-side reform of the export sector, not just price adjustment via the exchange rate."          | Distinguish cyclical from structural current account deficits — different causes require different policy responses. |
| <b>C</b> | <b>Cost (depreciation and import inflation)</b>      | Depreciation raises the price of imported goods and inputs, generating cost-push inflationary pressure — eroding real purchasing power and raising production costs.                   | In Singapore, which imports virtually all of its energy, food, and raw materials, depreciation is particularly costly in terms of imported inflation.                       | "A depreciation of the exchange rate to improve the current account would, in Singapore's context, significantly raise the cost of imports — including food, energy, and industrial inputs. This cost-push inflation would erode the real income of households and raise production costs, potentially offsetting the export competitiveness gain."             | Singapore-specific: depreciation has particularly large inflationary costs due to near-total import dependence.      |
| <b>I</b> | <b>Impact on stakeholders</b>                        | A current account surplus may reflect excessive domestic saving and suppressed consumption — consumers forgo current purchasing power to build national wealth.                        | Export-oriented firms and workers benefit from a competitive exchange rate (weak currency); import-consuming households are harmed by higher import prices.                 | "A weak exchange rate that maintains a current account surplus benefits export-oriented firms and their workers through higher export revenue. However, it harms domestic consumers who pay higher prices for imported goods. In Singapore's case, the MAS chooses a managed appreciation — accepting some export cost in exchange for lower import inflation." | When evaluating who gains and loses from BOP adjustment policies.                                                    |
| <b>E</b> | <b>Efficacy of alternatives</b>                      | Supply-side policies (labour productivity improvements, R&D investment) raise export competitiveness without triggering imported                                                       | Capital controls to limit financial account outflows can support the trade account balance but distort capital allocation and deter FDI.                                    | "An alternative to exchange rate depreciation for current account improvement is supply-side export promotion — improving product quality, moving up the value chain, and reducing unit                                                                                                                                                                         | When comparing exchange rate policy vs structural supply-side approach to BOP management.                            |

| Letter   | Criterion                                            | Thesis application                                                                                                                                  | Antithesis application                                                                                                 | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                              | When to prioritise                                                              |
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|          |                                                      | inflation — the preferred long-run approach.                                                                                                        |                                                                                                                        | <i>labour costs through productivity growth. This raises export competitiveness without importing inflation and is consistent with Singapore's long-run economic strategy."</i>                                                                                                                                                                                                   |                                                                                 |
| <b>S</b> | <b>Side-effects/<br/>unintended<br/>consequences</b> | Persistent depreciation may trigger retaliatory currency depreciation by trading partners ('currency wars'), eliminating the competitive advantage. | Suppressing a currency below its equilibrium may create trade tensions and invite WTO disputes or retaliatory tariffs. | <i>"A persistent current account surplus maintained through exchange rate undervaluation may attract accusations of currency manipulation and invite retaliatory tariffs from trading partners. Singapore's managed appreciation path avoids this risk — the SGD has appreciated steadily over time, reflecting economic fundamentals rather than mercantilist manipulation."</i> | When evaluating the international political economy implications of BOP policy. |

### Top 3 Exam-Ready Evaluation Moves

1. J-curve + Marshall-Lerner (SR vs LR): 'Depreciation worsens the current account in the short run (J-curve effect) before improving it in the long run — but only if the Marshall-Lerner condition is satisfied ( $PED_x + PED_m > 1$ ). If demand for exports and imports is inelastic, the long-run improvement may also be insufficient to correct the deficit.'
2. Cyclical vs structural deficit (Extent): 'The appropriate policy response depends on whether the current account deficit is cyclical or structural. A cyclical deficit self-corrects as the economic cycle turns. A structural deficit requires supply-side reform of export competitiveness — exchange rate adjustment addresses the price but not the underlying productivity gap.'
3. Singapore depreciation cost (Cost): 'A deliberate SGD depreciation to boost exports would generate significant cost-push inflation in Singapore, which imports virtually all of its energy, food, and industrial inputs. This imported inflation cost — borne by all households — may outweigh the export competitiveness gain, explaining why MAS consistently chooses appreciation over depreciation.'



## Topic 11 — Exchange Rates and Monetary Policy (Singapore Context)

**Typical question stems:** 'Assess the effectiveness of MAS's exchange rate policy in achieving Singapore's macroeconomic objectives.' / 'Discuss the trade-offs in Singapore's choice of exchange rate regime.' / 'Evaluate whether a stronger or weaker SGD is beneficial for Singapore's economy.'

| Letter   | Criterion                                      | Thesis application                                                                                                                                                               | Antithesis application                                                                                                                                                                 | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                      | When to prioritise                                                                                  |
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| <b>S</b> | <b>Short-run vs Long-run</b>                   | In the SR, an appreciation of the SGD reduces import prices, lowering CPI inflation relatively quickly — the pass-through from exchange rate to prices operates within months.   | In the LR, sustained appreciation reduces export price competitiveness — export revenue falls and export-oriented firms may relocate production to lower-cost locations.               | "SGD appreciation reduces imported inflation in the short run — the primary channel through which MAS manages price stability. In the long run, however, a persistently stronger SGD makes Singapore's exports more expensive, putting pressure on export-oriented manufacturers and potentially accelerating the shift of production to lower-cost locations."           | Core for any MAS policy question — SR inflation benefit vs LR competitiveness cost.                 |
| <b>P</b> | <b>Priorities of government</b>                | If price stability is the priority (as in 2022–23 with elevated CPI), MAS steepens the appreciation slope — stronger SGD lowers import costs.                                    | If growth and export competitiveness are the priority (as during a global recession), MAS flattens the appreciation slope or re-centres the band — supporting export revenue.          | "MAS adjusts the slope, width, and centre of the SGD NEER policy band based on prevailing macroeconomic conditions. Steeper slope = tighter stance (anti-inflation). Flatter slope or downward re-centring = looser stance (pro-growth/competitiveness). Evaluation must connect the specific parameter change to the macroeconomic objective being targeted."            | Essential for MAS policy evaluation — explain the slope/width/centre mechanism explicitly.          |
| <b>E</b> | <b>Extent of external vulnerability</b>        | As a small, open economy with trade-to-GDP exceeding 300%, Singapore's price level is highly sensitive to global commodity and energy prices — imported inflation can be severe. | Singapore's import dependence means that exchange rate appreciation has an unusually large and rapid impact on domestic prices — the pass-through coefficient is high.                 | "Singapore's exceptional openness (trade-to-GDP >300%) means that exchange rate movements have an unusually large effect on the domestic price level. A 1% appreciation of the SGD NEER reduces imported inflation significantly — this high pass-through coefficient makes the exchange rate an effective and precise anti-inflation tool."                              | Always contextualise MAS policy within Singapore's exceptional trade openness.                      |
| <b>C</b> | <b>Cost (competitiveness and the Trilemma)</b> | Singapore has chosen free capital mobility + managed exchange rate, sacrificing interest rate autonomy (open-economy trilemma). Domestic interest rates follow global rates.     | A continuously appreciating SGD imposes a persistent competitiveness cost on export-oriented firms and raises the cost of Singapore-based production relative to regional competitors. | "Singapore's exchange-rate-centred framework reflects a conscious trilemma choice: free capital mobility and a managed exchange rate are retained at the cost of interest rate autonomy. This means all monetary adjustment must be delivered through the exchange rate — Singapore cannot use independent interest rate cuts or hikes."                                  | H2 required: the open-economy trilemma as the foundational constraint on Singapore monetary policy. |
| <b>I</b> | <b>Impact on stakeholders</b>                  | Appreciation benefits consumers (lower import prices, higher real purchasing power) and firms that rely on imported inputs.                                                      | Appreciation harms export-oriented firms (lower revenue in SGD terms), manufacturing workers (threatened employment), and inbound tourism operators.                                   | "Exchange rate appreciation has differential welfare effects. Consumers and import-dependent firms benefit from lower prices. Export-oriented firms and their workers face a competitiveness squeeze. The MAS manages this trade-off by targeting the NEER rather than any bilateral exchange rate, diversifying the competitiveness impact across all trading partners." | When evaluating who gains and loses from MAS's appreciation bias.                                   |
| <b>E</b> | <b>Efficacy of alternatives</b>                | Interest rate policy (the alternative in most countries) cannot be used                                                                                                          | Fiscal policy can complement exchange rate policy: targeted                                                                                                                            | "The alternative monetary policy tool — interest rate adjustment — is unavailable to Singapore under                                                                                                                                                                                                                                                                      | When evaluating the limits of MAS policy and the role of the fiscal-monetary policy                 |

| Letter | Criterion                                   | Thesis application                                                                                                                                  | Antithesis application                                                                                                                                       | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                 | When to prioritise                                                         |
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|        |                                             | in Singapore due to the trilemma — domestic rates follow global rates given free capital mobility.                                                  | transfers support households hurt by residual inflation; investment in productivity raises the non-price competitiveness of exports.                         | <i>the open-economy trilemma. Fiscal policy complements the exchange rate: targeted transfers address the distributional effects of residual inflation while investment in productivity (RIE plans, SkillsFuture) sustains export competitiveness through non-price channels."</i>                                                                   | mix.                                                                       |
| S      | <b>Side-effects/unintended consequences</b> | Continuous SGD appreciation may encourage speculative capital inflows (carry trades), creating financial stability risks and asset price inflation. | Rapid appreciation during a global commodity price shock may overshoot the required level, risking deflation and damaging export sectors more than intended. | <i>"Rapid SGD appreciation to combat inflation carries the risk of overshooting. If appreciation is too aggressive, import prices fall sharply and deflationary expectations may emerge. Deflation, once entrenched, is more difficult to reverse than inflation — MAS must calibrate the pace of appreciation carefully to avoid this outcome."</i> | When evaluating the risk of policy overshoot or deflationary consequences. |

### Top 3 Exam-Ready Evaluation Moves

- 1. Trilemma constraint (Cost):** 'Singapore's exchange-rate-centred monetary policy reflects a trilemma choice: free capital mobility and a managed SGD NEER are retained, but interest rate autonomy is sacrificed. Domestic rates follow global rates. This means all monetary adjustment must be delivered through the exchange rate — Singapore cannot use independent interest rate cuts or hikes as a counter-cyclical tool.'
- 2. Appreciation trade-off (SR vs LR):** 'SGD appreciation reduces imported inflation in the short run (high pass-through given trade-to-GDP >300%). In the long run, persistent appreciation erodes export price competitiveness — manufacturing firms face pressure to relocate. Singapore's response has been to maintain competitiveness through productivity growth (non-price channel) rather than exchange rate depreciation.'
- 3. MAS slope/width/centre mechanism (Priorities):** 'MAS adjusts three parameters of the SGD NEER policy band: the slope (rate of appreciation), width (tolerance band), and centre (re-centring to market rate). Steeper slope = tighter stance (anti-inflation); flatter slope or re-centring downward = looser stance (pro-growth). Evaluation must connect the specific parameter change to the macroeconomic objective being targeted.'



## Topic 12 — International Trade, Comparative Advantage, and Protectionism

**Typical question stems:** 'Discuss whether free trade is beneficial for [economy].' / 'Assess the case for protectionism in [industry/country].' / 'Evaluate whether [tariff/quota/subsidy] is justified.' / 'To what extent does comparative advantage explain [trade pattern]?'

| Letter   | Criterion                                                 | Thesis application                                                                                                                                                                                  | Antithesis application                                                                                                                                                                                                  | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                                                                                                              | When to prioritise                                                                                                  |
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| <b>S</b> | <b>Short-run vs Long-run</b>                              | In the SR, trade liberalisation causes structural unemployment in industries that lose comparative advantage — workers displaced from declining sectors cannot immediately move to growing sectors. | In the LR, resource reallocation toward industries of comparative advantage raises total factor productivity and living standards — workers retrain, capital re-deploys, and the gains from trade accrue more fully.    | <i>"Trade liberalisation generates net welfare gains in the long run but creates structural adjustment costs in the short run. Displaced workers in import-competing industries bear a concentrated short-run cost, while the long-run benefits are diffuse. Complementary retraining and social safety nets (e.g. SkillsFuture) are necessary to manage the transition."</i>                                                                                     | Always address the SR adjustment costs vs LR gains trade-off for trade liberalisation questions.                    |
| <b>P</b> | <b>Priorities of government</b>                           | If the priority is consumer welfare and allocative efficiency, free trade is strongly preferred — consumers access goods at world prices and variety increases.                                     | If the priority is domestic employment, national security, or development of strategic industries, protectionism for specific sectors may be justified.                                                                 | <i>"The case for or against protectionism depends on the government's priority. A pure efficiency-maximising government would embrace free trade. A government prioritising strategic industrial development (infant industry argument), national security, or employment may justify targeted, time-limited protection in specific sectors."</i>                                                                                                                 | When evaluating whether a tariff or quota is justified — priorities determine the appropriate framework.            |
| <b>E</b> | <b>Extent of comparative advantage and dynamic change</b> | If comparative advantage is static and based on permanent factor endowments, the case for specialisation is clear.                                                                                  | If comparative advantage is dynamic — shaped by policy, technology, and investment (e.g. Singapore's electronics, finance) — industrial policy and FDI attraction can legitimately alter the pattern of specialisation. | <i>"Comparative advantage is not fixed. Singapore has no natural resource endowments but has developed comparative advantage in financial services, precision manufacturing, and logistics through deliberate policy choices: education investment, infrastructure, and institutional quality. Whether a country should specialise according to current comparative advantage or attempt to shift it through industrial policy is a key evaluative question."</i> | When evaluating whether comparative advantage justifies the current trade pattern or whether policy can reshape it. |
| <b>C</b> | <b>Cost of protectionism (welfare loss)</b>               | A tariff creates a deadweight loss: consumer surplus is reduced, some domestic production is inefficiently expanded, and the tariff revenue does not fully compensate for the consumer loss.        | Protectionism invites retaliation by trading partners — raising the cost of exports in foreign markets and potentially triggering a trade war that harms all participating countries.                                   | <i>"The welfare cost of a tariff includes a consumption DWL (lost CS from reduced consumption) and a production DWL (inefficient domestic production subsidised by consumer overpricing). These costs are borne by domestic consumers. The risk of retaliatory tariffs adds a second-order cost — reduced export market access — that may outweigh the domestic production benefit."</i>                                                                          | Standard welfare analysis evaluation for tariff questions — use the four-zone tariff diagram analysis.              |
| <b>I</b> | <b>Impact on stakeholders</b>                             | Free trade benefits consumers (lower prices, more variety, higher CS) and export-oriented firms. It harms import-competing domestic producers facing foreign competition.                           | Protectionism benefits domestic import-competing producers and their workers at the direct cost of consumers (higher prices) and at a broader efficiency cost.                                                          | <i>"The distributional effects of tariff imposition are well-defined: domestic producers in the protected sector gain (PS rises), domestic consumers lose (CS falls), and the government gains tariff revenue. The net welfare effect is negative (DWL). The political economy of protection reflects the concentrated benefits to the protected industry vs the diffuse costs to all consumers."</i>                                                             | When evaluating who gains and who loses from a trade policy decision.                                               |

| Letter | Criterion                                   | Thesis application                                                                                                                                                        | Antithesis application                                                                                                                                                        | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                                      | When to prioritise                                                                                          |
|--------|---------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| E      | <b>Efficacy of alternatives</b>             | If the objective is to support a strategic industry, a production subsidy is more efficient than a tariff — it raises domestic output without distorting consumer prices. | If the objective is to protect employment, retraining and adjustment assistance directly address structural unemployment without the consumer welfare cost of trade barriers. | <i>"A production subsidy is more efficient than a tariff for supporting an infant industry: it raises domestic output to the desired level without raising consumer prices, avoiding the consumption DWL. However, a subsidy still imposes a fiscal cost, and both measures reduce the incentive for the infant industry to become genuinely competitive."</i>                            | When the stem asks whether the tariff or an alternative is the 'most effective' or 'best justified' policy. |
| S      | <b>Side-effects/unintended consequences</b> | An infant industry tariff may become permanent — the protected industry lobbies to retain protection indefinitely rather than developing genuine competitiveness.         | Tariffs on imported inputs raise production costs for domestic downstream industries — a tariff on steel raises costs for the car manufacturing industry that uses steel.     | <i>"The infant industry argument for temporary protection carries a credibility problem: governments find it politically difficult to remove protection once the industry has had time to mature, because protected producers will lobby intensively to retain their advantage. Temporary protection tends to become permanent, perpetuating the inefficiency it was meant to solve."</i> | The infant industry critique — standard evaluation for protectionism questions.                             |

### Top 3 Exam-Ready Evaluation Moves

1. SR structural adjustment vs LR gains (SR vs LR): 'Trade liberalisation generates net welfare gains in the long run but creates structural adjustment costs in the short run. Displaced workers in import-competing industries bear a concentrated short-run cost, while the long-run gains are diffuse. The policy question is whether the government can manage the transition — through retraining and income support — to make the adjustment politically and socially acceptable.'
2. Tariff vs subsidy efficiency (Alternatives): 'A production subsidy is more efficient than a tariff for supporting a domestic industry: it raises domestic output without distorting consumer prices, avoiding the consumption DWL. However, the subsidy imposes a direct fiscal cost. The choice between them reflects the government's trade-off between efficiency and fiscal impact.'
3. Infant industry credibility problem (Side-effects): 'The infant industry argument for temporary tariff protection has a fundamental credibility flaw: governments cannot credibly commit to removing the tariff once the industry matures, because the protected producers will lobby to retain it. Temporary protection tends to become permanent, perpetuating the inefficiency it was meant to solve.'

## Topic 13 — Globalisation and the Open Economy

**Typical question stems:** 'Discuss whether Singapore benefits from globalisation.' / 'Assess the impact of FDI on a host economy.' / 'Evaluate whether globalisation increases or decreases income inequality.' / 'Discuss the costs and benefits of economic integration for [economy].'

| Letter   | Criterion                                            | Thesis application                                                                                                                                                                 | Antithesis application                                                                                                                                                                                        | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                                                                                   | When to prioritise                                                                                                   |
|----------|------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| <b>S</b> | <b>Short-run vs Long-run</b>                         | In the SR, trade and FDI flows raise AD (export demand, capital investment), boosting output and employment quickly.                                                               | In the LR, globalisation raises productive capacity (LRAS) through technology transfer, human capital development, and specialisation — but also creates structural unemployment as industries are displaced. | <i>"In the short run, globalisation boosts AD through export demand and FDI inflows. In the long run, it raises productive capacity through technology transfer and specialisation — shifting LRAS rightward. However, the long run also brings structural displacement: workers in declining sectors face persistent unemployment if they cannot retrain quickly enough."</i>                                                         | Always distinguish the SR demand stimulus from the LR supply-side capacity effects of globalisation.                 |
| <b>P</b> | <b>Priorities of government</b>                      | If the priority is aggregate growth and consumer welfare, embracing globalisation (free trade, open FDI regime) is appropriate.                                                    | If the priority is inclusive growth and employment security, the government must complement openness with active redistribution and labour market support.                                                    | <i>"Singapore's open economy strategy reflects a deliberate prioritisation of aggregate growth and allocative efficiency from trade specialisation. Equity concerns are addressed through complementary domestic policies: Workfare, Progressive Wage Model, CPF system. The priority choice — openness first, redistribution second — shapes the entire economic model."</i>                                                          | When evaluating Singapore's economic model or comparing it with more protectionist alternatives.                     |
| <b>E</b> | <b>Extent of openness and external vulnerability</b> | For a small, resource-scarce economy like Singapore, the gains from globalisation are large and the alternative (autarky) is not viable — the extent of dependence is existential. | For a large, resource-rich economy (e.g. Brazil, India), autarky is feasible and the gains from trade, while positive, are less critical to survival.                                                         | <i>"The extent of benefit from globalisation depends on the economy's structure and alternatives. For Singapore, with no natural resources and a population of 5.9 million, globalisation is not optional — it is the fundamental precondition for economic viability. The evaluation therefore is not 'globalisation or not' but 'globalisation well-managed or poorly managed'."</i>                                                 | Context-critical: Singapore's evaluation of globalisation differs fundamentally from large, resource-rich economies. |
| <b>C</b> | <b>Cost (external vulnerability and inequality)</b>  | Dependence on global demand and capital flows exposes the economy to external shocks — recessions in major trading partners cause sharp GDP contractions.                          | Rising income inequality (skill-biased technological change from globalisation) may require costly redistributive policies to maintain social cohesion.                                                       | <i>"Globalisation imposes a structural vulnerability: Singapore's trade-to-GDP ratio of &gt;300% means that a global recession transmits rapidly and fully into domestic output contraction. The 2020 GDP contraction of 5.4% illustrates this dependence. Diversification through FTAs (CPTPP, RCEP) reduces bilateral exposure but cannot eliminate systemic global risk."</i>                                                       | When evaluating the costs of Singapore's extreme openness — external shock vulnerability and inequality.             |
| <b>I</b> | <b>Impact on stakeholders</b>                        | Consumers benefit from lower prices (competition, imports), greater variety, and access to global goods and services.                                                              | Low-skilled domestic workers face wage competition from cheaper foreign labour and risk structural unemployment as labour-intensive production shifts to lower-cost locations.                                | <i>"Globalisation has differential welfare effects. Consumers and high-skilled workers benefit most — lower prices and high wages for skills in global demand. Low-skilled workers face competition from foreign labour and automation, risking wage stagnation or displacement. Singapore's Workfare Income Supplement and Progressive Wage Model attempt to ensure that low-wage workers share in the gains from globalisation."</i> | When evaluating who gains and loses from globalisation within a specific economy.                                    |
| <b>E</b> | <b>Efficacy of</b>                                   | Protectionism would                                                                                                                                                                | Managed globalisation —                                                                                                                                                                                       | <i>"The alternative to full openness</i>                                                                                                                                                                                                                                                                                                                                                                                               | When evaluating                                                                                                      |

| Letter   | Criterion                                   | Thesis application                                                                                                                                                                 | Antithesis application                                                                                                                                                                            | How to write the evaluation sentence                                                                                                                                                                                                                                                                                                                                                              | When to prioritise                                                                                |
|----------|---------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
|          | <b>alternatives</b>                         | reduce external vulnerability but at the cost of higher consumer prices, lower productivity, and foregone technology transfer — particularly costly for a resource-scarce economy. | selectively attracting high-value FDI while screening out low-value activities — may retain most of the gains while reducing some structural disruption risks.                                    | — <i>selective protectionism</i> — <i>would preserve some domestic industries but at significant cost to consumers (higher prices) and to Singapore's attractiveness as an investment hub. The EDB's strategy of selectively targeting high-value FDI (biomedical, semiconductors) represents a middle path: open to the world but actively shaping the composition of inward investment.</i> "   | whether selective industrial policy or full openness is more appropriate for Singapore.           |
| <b>S</b> | <b>Side-effects/unintended consequences</b> | Rapid globalisation may cause cultural homogenisation, loss of local industries, and erosion of social trust if inequality rises faster than redistribution can offset.            | FDI dependence may create enclave effects: MNCs repatriate profits, use primarily imported inputs, and create limited domestic backward linkages — limiting technology spillovers to local firms. | " <i>FDI inflows create employment and transfer technology, but the extent of domestic benefit depends on the depth of backward linkages to local firms. If MNCs source inputs globally rather than locally, the technology spillover is limited and local SMEs do not benefit. Singapore's Local Enterprise and Association Development (LEAD) programme attempts to build these linkages.</i> " | When evaluating whether FDI-led growth translates into broad-based domestic economic development. |

### Top 3 Exam-Ready Evaluation Moves

- 1. Existential dependence (Extent):** 'For Singapore, the evaluation of globalisation is not a trade-off between openness and autarky — autarky is simply not viable for a resource-scarce island of 5.9 million. The relevant question is whether globalisation is well-managed: whether the gains are broadly shared and the vulnerabilities actively mitigated through FTA diversification, reserves accumulation, and domestic redistributive policies.'
- 2. Differential stakeholder impact (Impact):** 'Globalisation benefits consumers (lower prices, greater variety) and high-skilled workers (high wages for globally demanded skills) disproportionately. Low-skilled workers bear the cost through wage competition and structural displacement. Singapore's Workfare, Progressive Wage Model, and SkillsFuture reflect recognition that openness requires active management of distributional consequences.'
- 3. FDI enclave risk (Side-effects):** 'FDI generates employment and technology transfer, but the depth of benefit depends on backward linkages to local firms. If MNCs source globally rather than locally, technology spillovers to domestic firms are limited. The policy challenge is to deepen local supply chain integration (EDB's LEAD programme) to ensure FDI benefits permeate the broader economy.'

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End of Document. Aligned to GCE A-Level H2 Economics Syllabus 9570 and H1 Economics Syllabus 8843 (2025/26).

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